

ABBREVIATIONS AND ACRONYMS

AADT	Annual Average Daily Traffic
BCA	Benefits-to-Cost Analysis
CPUC	California Public Utilities Commission
FHWA	Federal Highway Administration
FRA	Federal Railroad Administration

BIBLIOGRAPHY

- Alameda Corridor-East Project. San Gabriel Valley Council of Governments. <https://www.theaceproject.org/> (accessed October 12, 2019).
- Aldrete, R.M., C.J. Kruse, D. Salgado, S.R. Vadali, A. Mudgal, J.C. Villa, L.E. Cornejo, and D.S. Bae. "Leveraging the Value of Land and Landside Access to Fund Port Infrastructure in Texas." *Transportation Research Record* 2672, no. 11 (2018): 41–52. <https://doi.org/10.1177/0361198118794066>
- Aldrete, R.M., S. Vadali, D. Salgado, S. Chandra, L. Cornejo, and A. Bujanda. *Transportation Reinvestment Zones: Texas Legislative History and Implementation* (No. PRC 15-36 F). 2016.
- Belzer, D., S. Srivastava, M. Austin, T. Bump, and J. Wood. *Transit and Regional Economic Development* (No. FTA CA-26-1007-03). 2011.
- City of Burlingame. *Broadway Grade Separation*. [https://www.burlingame.org/document_center/Public%20Works/Capital%20Improvements/Broadway%20Grade%20Sep%20\(82540\)/BGS%20PSR_Final_January%2026%202017.pdf](https://www.burlingame.org/document_center/Public%20Works/Capital%20Improvements/Broadway%20Grade%20Sep%20(82540)/BGS%20PSR_Final_January%2026%202017.pdf) (accessed February 22, 2020).
- California Association for Local Economic Development. *Primer on California's New Tax Increment Financing Tools*. <https://www.cacities.org/Resources-Documents/Policy-Advocacy-Section/Hot-Issues/New-Tax-Increment-Tools/CALED-TIF-Primer-3-17-FINAL.aspx> (accessed November 21, 2019).
- . California Property Tax Calculator. <https://smartasset.com/taxes/california-property-tax-calculator#us/property> (accessed February 22, 2020).
- California Public Utilities Commission (CPUC). *Section 190 Grade Separation Program*. https://www.cpuc.ca.gov/uploadedFiles/CPUC_Public_Website/Content/Safety/Rail/Rail_Crossings/190GradeSepOverview-v201708.pdf (accessed May 25, 2020).
- Caltrans GIS Data. https://gisdata-caltrans.opendata.arcgis.com/datasets/f71f49fb87b3426e9688fe66039170bc_0 (accessed May 25, 2020).
- Cao, X.J., and D. Porter-Nelson. "Real Estate Development in Anticipation of the Green Line Light Rail Transit in St. Paul." *Transport Policy* 51 (2016): pp.24–32. <https://doi.org/10.1016/j.tranpol.2016.01.007>
- Cervero, R. *Urban Development on Railway-Served Land: Lessons and Opportunities for the Developing World*. Berkeley, CA: University of California Berkeley Center for Future Urban Transport, 2009.
- Chandra, S., and S. Vadali. "Evaluating Accessibility Impacts of the Proposed America

- 2050 High-Speed Rail Corridor for the Appalachian Region.” *Journal of Transport Geography* 37 (2014): 28–46.
<https://doi.org/10.1016/j.jtrangeo.2014.04.002>
- Chen, G., M. Correia, and J. de Abreu e Silva. “Accessibility Indicators for Regional Economic Development: An Application to the Regional Distributive Effects of High-Speed Rail in Spain.” 55th Congress of the European Regional Science Association, *World Renaissance: Changing Roles for People and Places*, August 25–28, 2015, Lisbon, Portugal.
- Cidell, J., and B. Alexander. “Spatial Variation among Green Building Certification Categories: Does Place Matter?” *Landscape and Urban Planning* 91, no. 3 (2009): 142–151. <https://doi.org/10.1016/j.landurbplan.2008.12.001>
- City of Moorhead, Minnesota. SE MAIN AVE/20 ST/21 ST RAILROAD GRADE SEPARATION PROJECT, Project Vital Statistics. _ (accessed November 1, 2019).
- Chicago Region Environmental and Transportation Efficiency Program (CREATE). “CREATE program, partners celebrate opening of 25th Avenue grade separation project.” <https://www.rtands.com/safety-training/create-program-partners-celebrate-opening-of-25th-avenue-grade-separation-project/> (accessed October 22, 2019).
- Dong, H. “If You Build Rail Transit in Suburbs, Will Development Come?” *Journal of the American Planning Association* 82, no. 4 (2016): 316–326.
<https://doi.org/10.1080/01944363.2016.1215258>
- City of West Sacramento. Enhanced Infrastructure Financing Districts (EIFD). <https://www.cityofwestsacramento.org/business/economic-development/enhanced-infrastructure-financing-districts> (accessed November 25, 2019).
- Farris, S., and J. Horbas. “Creation vs. Capture: Evaluating the True Costs of Tax Increment Financing.” *Journal of Property Tax Assessment & Administration* 6, no. 4 (2009): 5–28.
- Federal Railroad Administration (FRA). Web Accident Prediction System (WBAPS). <https://safetydata.fra.dot.gov/webaps/default.aspx> (accessed June 9, 2020).
- Giuliano, G. “Land Use Impacts of Transportation Investments: Highway and Transit.” In *The Geography of Urban Transportation*, edited by S. Hanson and G. Giuliano, 237–273. New York: The Guilford Press, 2004.
- Gutiérrez, J. “Location, Economic Potential and Daily Accessibility: An Analysis of the Accessibility Impact of the High-Speed Line Madrid–Barcelona–French Border.” *Journal of Transport Geography* 9, no. 4 (2001): 229–242.
[https://doi.org/10.1016/S0966-6923\(01\)00017-5](https://doi.org/10.1016/S0966-6923(01)00017-5)

- BayRail Alliance. GRADE SEPARATION. http://www.bayrailalliance.org/grade_separation/ (accessed October 29, 2019).
- Chicago Region Environmental and Transportation Efficiency Program (CREATE). Grand Avenue & IHB & CN Grade Separation. <http://www.createprogram.org/factsheets/GS5a.pdf> (accessed November 1, 2019). [https://doi.org/10.1061/\(ASCE\)1076-0342\(2001\)7:1\(1\)](https://doi.org/10.1061/(ASCE)1076-0342(2001)7:1(1))
- Hess, D. B., and T.M. Almeida. "Impact of Proximity to Light Rail Rapid Transit on Station-Area Property Values in Buffalo, New York." *Urban Studies* 44, no. 5–6 (2007): 1041–1068. <https://doi.org/10.1080/00420980701256005>
- Transportation Research Board. Highway Capacity Manual (HCM), 2001. https://sjnavarro.files.wordpress.com/2008/08/highway_capacital_manual.pdf (accessed May 26, 2020).
- Zillow Research Housing Data. <https://www.zillow.com/research/data/> (accessed February 27, 2020).
- Kern Council of Governments. GRADE SEPARATION PRIORITIZATION REPORT 2011. http://www.kerncog.org/wp-content/uploads/2017/11/Grade_Sep_Priority_Report.pdf (accessed May 25, 2020).
- Ko, K., and X.J. Cao. Impacts of the Hiawatha Light Rail Line on Commercial and Industrial Property Values in Minneapolis. Center for Transportation Studies, University of Minnesota, 2010.
- Longitudinal Employer-Household Dynamics (LEHD), Center for Economic Studies, United States Census Bureau. OnTheMap. <https://onthemap.ces.census.gov/> (accessed May 30, 2020).
- Longitudinal Employer-Household Dynamics (LEHD), Center for Economic Studies, US Census Bureau, OnTheMap Help and Documentation. https://lehd.ces.census.gov/applications/help/onthemap.html#lwhat_is_onthemap (accessed January 22, 2020).
- Montana Department of Transportation (MDT). 2016 Montana Rail Grade Separation Study Final Report. <https://www.mdt.mt.gov/publications/docs/brochures/MDT-RGSS-Final-Report-2016.pdf> (accessed May 24, 2020).
- Mountain View Voice. <https://www.mv-voice.com/news/2018/12/06/study-approved-to-fix-rengstorff-train-crossing> (accessed on October 28, 2019).
- Murakami, J., and R. Cervero. "California High-Speed Rail and Economic Development: Station-Area Market Profiles and Public Policy Responses." University of California, Berkeley Faculty Club, 2010. <http://citeseerx.ist.psu.edu/viewdoc/download?doi=10.1.1.232.8492&rep=rep1&type=pdf> (accessed November 20, 2020)

O'Sullivan, A. Urban Economics. 8th ed. New York: McGraw-Hill/Irwin, 2010.

Primer on California's New Tax Increment Financing Tools, California Association for Local Economic Development. <https://www.cacities.org/Resources-Documents/Policy-Advocacy-Section/Hot-Issues/New-Tax-Increment-Tools/CALED-TIF-Primer-3-17-FINAL.aspx> (accessed November 21, 2019).

Caltrans. Proposition 1B - Highway-Railroad Crossing Safety. <https://bondaccountability.dot.ca.gov/ProjectListPreAction.do?page=1000026> (accessed May 25, 2020).

Rubin, Thomas A., James E. Moore, and Shin Lee. "Ten Myths about US Urban Rail Systems." Transport Policy 6, no. 1 (1999): 57–73. [https://doi.org/10.1016/S0967-070X\(98\)00032-8](https://doi.org/10.1016/S0967-070X(98)00032-8)

STREETS AND HIGHWAYS CODE (SHC), California Legislative Information. https://leginfo.legislature.ca.gov/faces/codes_displayText.xhtml?lawCode=SHC&division=3.&title=&part=&chapter=10.&article= (accessed November 26, 2019).

SURFACE TRANSPORTATION BOARD. Appendix K – Transportation Safety and Delay, Northern Rail Extension Draft Environmental Impact Statement, 2020. (accessed May 26, 2020).

Median Property Taxes in California by County. The 2019 Tax Resource. <http://www.tax-rates.org/california/property-tax#:~:text=The%20median%20property%20tax%20in.as%20property%20tax%20per%20year> (accessed May 24, 2020).

Caltrans. Traffic Volumes. <https://dot.ca.gov/programs/traffic-operations/census/traffic-volumes> (accessed May 25, 2020).

Texas Department of Transportation (TxDOT). Transportation Reinvestment Zone. <https://www.txdot.gov/government/programs/trz.html> (accessed November 2, 2019).

US Department of Transportation (USDOT). Revised Departmental Guidance: Valuation of Travel Time in Economic Analysis 2016. <https://www.transportation.gov/sites/dot.gov/files/docs/2016%20Revised%20Value%20of%20Travel%20Time%20Guidance.pdf> (accessed May 23, 2020).

USDOT. 2016 Revised Value of a Statistical Life Guidance. <https://www.transportation.gov/sites/dot.gov/files/docs/2016%20Revised%20Value%20of%20a%20Statistical%20Life%20Guidance.pdf> (accessed May 22, 2020).

USDOT. Benefits-to-Cost Analysis Guidance for Discretionary Grant Programs, June 2018. <https://www.transportation.gov/sites/dot.gov/files/docs/mission/office-policy/transportation-policy/284031/benefits-to-cost-analysis-guidance-2018.pdf> (accessed May 31, 2020).

US Inflation Calculator. <https://www.usinflationcalculator.com/page/2/>

Vadali, S., R. Aldrete, A. Bujanda, S. Samant, Y. Li, T. Geiselbrecht, B. Kuhn, S. Lyle, K. Dalton, M. Zhang, and S. Tooley. Planning Tools to Assess the Real Estate Leveraging Potential for Roadways and Transit: Technical Report (No. FHWA/TX-11/0-6538-1). Texas Transportation Institute, 2011.

Value Capture: Capitalizing on the Value Created by Transportation, FHWA. https://www.fhwa.dot.gov/innovation/everydaycounts/edc_5/value_capture.cfm (accessed October 11, 2019).

City of Palo Alto. Funding for Palo Alto Grade Separation and Crossing Improvements by Economic & Planning Systems, Inc. White paper. <https://www.cityofpaloalto.org/civicax/filebank/documents/64628> (accessed October 17, 2019).

Zandiatashbar, A., S. Hamidi, N. Foster, and K. Park. "The Missing Link between Place and Productivity? The Impact of Transit-Oriented Development on the Knowledge and Creative Economy." *Journal of Planning Education and Research* 39, no. 4 (2019): 429–441.
<https://doi.org/10.1177/0739456X19826271>

Zhang, M., and B.T. Yen. "The Impact of Bus Rapid Transit (BRT) on Land and Property Values: A Meta-Analysis." *Land Use Policy* 96 (2020): 104684.
<https://doi.org/10.1016/j.landusepol.2020.104684>

Montana Department of Transportation (MDT), 2016 Montana Rail Grade Separation Study Final Report, "1-Report-2016.pdf." <https://www.mdt.mt.gov/publications/docs/brochures/MDT-RGSS-Final-Report-2016.pdf> (accessed April 3, 2020).

Valley Transportation Authority (VTA), 2016 Measure B. <https://www.vta.org/projects/funding/2016-measure-b> (accessed November 14, 2019).

Caltrans, 2016 Traffic Volumes on California State Highways. <https://dot.ca.gov/-/media/dot-media/programs/traffic-operations/documents/census/aadt/tc-2016-aadt-volumes-a11y.pdf> (accessed May 25, 2020).

Caltrain, 25th Avenue Grade Separation. http://www.caltrain.com/projectsplans/Projects/Caltrain_Capital_Program/25th_Avenue_Grade_Separation.html (accessed November 25, 2019).

ABOUT THE AUTHORS

SHAILESH CHANDRA

Dr. Chandra is an associate professor in the Department of Civil Engineering and Construction Engineering Management at California State University, Long Beach (CSULB). He obtained his MS and Ph.D. in civil engineering from Texas A&M University in 2009 and 2012. Dr. Chandra has more than twelve years of transportation research experience focused on transport connectivity, transportation economics, accessibility, urban freight, and sustainability. He has been a principal investigator (PI) for several projects funded by various transportation agencies, including the California Department of Transportation (Caltrans) and the United States Department of Transportation (USDOT).

MEHRAN RAHMANI

Dr. Mehran Rahmani is an assistant professor in the Civil Engineering Construction Engineering Management (CECEM) department at California State University, Long Beach. He earned a Ph.D. in Structural and Earthquake Engineering from the University of Southern California (USC) in 2014, an MS in Electrical Engineering (with an emphasis in signal processing) from USC in 2013, and an MS in Structural Engineering from Sharif University of Technology (Iran) in 2009. Before joining CSULB, Dr. Rahmani, a registered Professional Engineer (PE) in California, worked as a Senior Engineer and a Project Engineer in the structural engineering industry from 2014 to 2017.

TIMOTHY THAI

Mr. Thai is an undergraduate student in the Department of Civil Engineering and Construction Engineering Management at CSULB. His research interests include railroad crossings and real estate analysis.

VIVEK MISHRA

Mr. Mishra is a graduate student in the Department of Computer Science and Computer Engineering at CSULB. His research interests relate to computer programming and transportation analysis.

JACQUELINE CAMACHO

Ms. Camacho is an undergraduate student in the Department of Civil Engineering and Construction Engineering Management at CSULB. Her research interests include topics related to crashes at railroad crossings and real estate analysis.

Hon. Norman Y. Mineta

MTI BOARD OF TRUSTEES

Founder, Honorable Norman Mineta*
Secretary (ret.),
US Department of Transportation

Chair, Abbas Mohaddes
President & COO
Econolite Group Inc.

Vice Chair, Will Kempton
Executive Director
Sacramento Transportation Authority

Executive Director, Karen Philbrick, PhD*
Mineta Transportation Institute
San José State University

Winsome Bowen
Chief Regional Transportation
Strategy
Facebook

David Castagnetti
Co-Founder
Mehlman Castagnetti
Rosen & Thomas

Maria Cino
Vice President
America & U.S. Government
Relations Hewlett-Packard Enterprise

Grace Crunican**
Owner
Crunican LLC

Donna DeMartino
Managing Director
Los Angeles-San Diego-San Luis
Obispo Rail Corridor Agency

Nuria Fernandez**
General Manager & CEO
Santa Clara Valley
Transportation Authority (VTA)

John Flaherty
Senior Fellow
Silicon Valley American
Leadership Forum

William Flynn *
President & CEO
Amtrak

Rose Guilbault
Board Member
Peninsula Corridor
Joint Powers Board

Ian Jefferies*
President & CEO
Association of American Railroads

Diane Woodend Jones
Principal & Chair of Board
Lea + Elliott, Inc.

David S. Kim*
Secretary
California State Transportation
Agency (CALSTA)

Therese McMillan
Executive Director
Metropolitan Transportation
Commission (MTC)

Bradley Mims
President & CEO
Conference of Minority
Transportation Officials (COMTO)

Jeff Morales
Managing Principal
InfraStrategies, LLC

Dan Moshavi, PhD*
Dean, Lucas College and
Graduate School of Business
San José State University

Toks Omishakin*
Director
California Department of
Transportation (Caltrans)

Takayoshi Oshima
Chairman & CEO
Allied Telesis, Inc.

Paul Skoutelas*
President & CEO
American Public Transportation
Association (APTA)

Beverley Swaim-Staley
President
Union Station Redevelopment
Corporation

Jim Tymon*
Executive Director
American Association of
State Highway and Transportation
Officials (AASHTO)

Larry Willis*
President
Transportation Trades
Dept., AFL-CIO

* = Ex-Officio

** = Past Chair, Board of Trustees

Directors

Karen Philbrick, PhD
Executive Director

Hilary Nixon, PhD
Deputy Executive Director

Asha Weinstein Agrawal, PhD
Education Director
National Transportation Finance
Center Director

Brian Michael Jenkins
National Transportation Security
Center Director



Exhibit SR-6

Evaluating Innovative Financing

Evaluating Innovative Financing Mechanisms for the California High-Speed Rail Project

Shailesh Chandra, PhD

Timothy Thai

Vivek Mishra

Princeton Wong



MINETA TRANSPORTATION INSTITUTE

Founded in 1991, the Mineta Transportation Institute (MTI), an organized research and training unit in partnership with the Lucas College and Graduate School of Business at San José State University (SJSU), increases mobility for all by improving the safety, efficiency, accessibility, and convenience of our nation's transportation system. Through research, education, workforce development, and technology transfer, we help create a connected world. MTI leads the [Mineta Consortium for Transportation Mobility \(MCTM\)](#) funded by the U.S. Department of Transportation and the [California State University Transportation Consortium \(CSUTC\)](#) funded by the State of California through Senate Bill 1. MTI focuses on three primary responsibilities:

Research

MTI conducts multi-disciplinary research focused on surface transportation that contributes to effective decision making. Research areas include: active transportation; planning and policy; security and counterterrorism; sustainable transportation and land use; transit and passenger rail; transportation engineering; transportation finance; transportation technology; and workforce and labor. MTI research publications undergo expert peer review to ensure the quality of the research.

Education and Workforce Development

To ensure the efficient movement of people and products, we must prepare a new cohort of transportation professionals who are ready to lead a more diverse, inclusive, and equitable transportation industry. To help achieve this, MTI sponsors a suite of workforce development and education opportunities. The Institute supports educational programs offered by the Lucas Graduate School of Business: a Master of Science in Transportation Management, plus graduate certificates that include High-Speed and Intercity Rail Management and Transportation Security Management. These flexible programs offer live online classes so that working transportation professionals can pursue an advanced degree regardless of their location.

Information and Technology Transfer

MTI utilizes a diverse array of dissemination methods and media to ensure research results reach those responsible for managing change. These methods include publication, seminars, workshops, websites, social media, webinars, and other technology transfer mechanisms. Additionally, MTI promotes the availability of completed research to professional organizations and works to integrate the research findings into the graduate education program. MTI's extensive collection of transportation-related publications is integrated into San José State University's world-class Martin Luther King, Jr. Library.

Disclaimer

The contents of this report reflect the views of the authors, who are responsible for the facts and accuracy of the information presented herein. This document is disseminated in the interest of information exchange. MTI's research is funded, partially or entirely, by grants from the U.S. Department of Transportation, the U.S. Department of Homeland Security, the California Department of Transportation, and the California State University Office of the Chancellor, whom assume no liability for the contents or use thereof. This report does not constitute a standard specification, design standard, or regulation.

Report 21-06

Evaluating Innovative Financing Mechanisms for the California High-Speed Rail Project

Shailesh Chandra, PhD

Timothy Thai

Vivek Mishra

Princeton Wong

February 2021

A publication of the
Mineta Transportation Institute
Created by Congress in 1991

College of Business
San José State University
San José, CA 95192-0219

TECHNICAL REPORT DOCUMENTATION PAGE

1. Report No. 21-06	2. Government Accession No.	3. Recipient's Catalog No.	
4. Title and Subtitle Evaluating Innovative Financing Mechanisms for the California High-Speed Rail Project		5. Report Date	
		6. Performing Organization Code	
7. Authors Shailesh Chandra, Timothy Thai, Vivek Mishra, Princeton Wong		8. Performing Organization Report CA-MTI-2047	
9. Performing Organization Name and Address Mineta Transportation Institute College of Business San José State University San José, CA 95192-0219		10. Work Unit No.	
		11. Contract or Grant No. ZSB12017-SJAUX	
12. Sponsoring Agency Name and Address State of California SB1 2017/2018 Trustees of the California State University Sponsored Programs Administration 401 Golden Shore, 5 th Floor Long Beach, CA 90802		13. Type of Report and Period Covered	
		14. Sponsoring Agency Code	
15. Supplemental Notes			
16. Abstract Millions of dollars are involved in high-speed rail (HSR) infrastructure construction and maintenance. Large-scale projects like HSR require funding from a variety of avenues beyond those available through public monies. Although HSR serves the general public's mobility needs, any funds (whether State or Federal) flowing from the public exchequer usually undergo strict review and scrutiny. Funds from public agencies are always limited, making such traditional financing mechanisms unsustainable for fulfilling HSR's long-term operational and maintenance cost needs—on top of initial costs involved in construction. Therefore, any sustainable means of financing HSR projects would always be welcome. This research presents an alternate revenue generation mechanism that could be sustainable for financing HSR's construction, operation, and maintenance. The methodology involves determining key HSR stations, which, after development and improvement, could significantly add value to businesses and real estate growth. Any form of real estate taxes levied on properties surrounding such stations could substantially support the HSR project's funding needs. In this research, a bi-objective optimization problem is posed in conjunction with a Pareto-optimal front framework to identify those key stations. With 28 California HSR stations used as an example, it was observed that the four proposed HSR stations in Fullerton, Millbrae-SFO, San Francisco Transbay Terminal, and San Diego would be excellent candidates for development. Their development could increase the economic vitality of surrounding businesses. The findings could serve as valuable information for California HSR authorities to focus on developing key stations that would generate an alternate funding source for an HSR project facing funding challenges.			
17. Key Words High-speed rail, station, optimization, business, cost, accessibility		18. Distribution Statement No restrictions. This document is available to the public through The National Technical Information Service, Springfield, VA 22161.	
19. Security Classif. (of this report) Unclassified	20. Security Classif. (of this page) Unclassified	21. No. of Pages 25	22. Price

Copyright © 2021

by **Mineta Transportation Institute**

All rights reserved.

DOI: 10.31979/mti.2021.2047

Mineta Transportation Institute
College of Business
San José State University
San José, CA 95192-0219

Tel: (408) 924-7560
Email: mineta-institute@sjsu.edu

transweb.sjsu.edu/research/2047

ACKNOWLEDGMENTS

The research team would like to thank MTI for the funding received to conduct this research.

Cover Photo by Reginar (Usplash).

CONTENTS

List of Figures	vi
List of Tables	vi
Executive Summary	1
I. Introduction and Background	3
II. Research Contribution.....	7
III. Methodology	8
3.1 Maximizing Revenue Potential	8
3.2 Maximizing Accessibility.....	9
3.3 Bi-Objective Design	11
IV. Application of the Method.....	12
V. Results and Discussion.....	15
VI. Summary and Conclusions	20
Bibliography.....	21
About the Authors.....	25

LIST OF FIGURES

Figure 1. Spatial Distribution of Property Tax Surrounding the Proposed High-Speed Rail Stations in California	13
Figure 2. Spatial Distribution of the Estimated Total Employment for the Year 2020 within a Quarter-Mile Radius of the Proposed High-Speed Rail Stations in California	14
Figure 3. Spatial Variation in the Revenue Potential of Proposed HSR Stations in CA	17
Figure 4. Spatial Variation in the Percentage Change in Potential Accessibility of the Proposed HSR Stations in CA	18
Figure 5. Pareto-Optimal Solution Representation for a Bi-Objective Optimization Problem	19

LIST OF TABLES

Table 1. Examples of Funding Sources for High-Speed Rail (HSR)	6
--	---

Executive Summary

Funding for large-scale infrastructure projects often involves partnerships from public entities at the local, regional, and/or national levels. However, unforeseen challenges thwart full-fledged financing of projects that use public funds. This is because public funds are often politically invested, temporal, tax-dependent, and sensitive to the public agency's economic health. Large-scale projects like high-speed rail (HSR) require funding from a variety of avenues beyond those available through public monies. Although HSR serves the general public's mobility needs, any funds (whether State or Federal) flowing from the public exchequer usually undergo strict review and scrutiny. Funds from public agencies are always limited, making such traditional financing mechanisms unsustainable for fulfilling HSR's long-term operational and maintenance cost needs—on top of initial costs involved in construction. Therefore, any sustainable means of financing HSR projects would always be welcome.

This research presents an alternate revenue generation mechanism that could be sustainable for financing HSR construction, operation, and maintenance. The methodology involves identifying key HSR stations, which, after development and improvement, could significantly add value to businesses and real estate growth. Any form of real estate taxes levied on properties surrounding such stations could substantially support the HSR project's funding needs. However, research shows that not every HSR station promotes increased economic activity, and impacts vary based on the station's city. Therefore, it will be useful to know which stations could focus on development and improvement to cause increased economic activity in their surrounding areas for both revenue generation and growth in economic potential.

In this research, a bi-objective optimization problem is posed in conjunction with a Pareto-optimal front framework to identify those key stations. The first objective involves maximizing the revenue potential and the second objective involves maximizing the percentage change in potential accessibility. The Pareto-optimal front is defined as a set of non-dominated solutions that is considered as optimal. A non-dominated solution in the Pareto-optimal front is a set of objective function values that are not dominated by values of any other pair of objective functions in the solution set.

With 28 proposed California HSR stations used as a sample set, it was observed that the four proposed HSR stations in Fullerton, Millbrae-SFO, San Francisco Transbay Terminal, and San Diego would be excellent candidates for development. Their development could increase the economic vitality of surrounding businesses. These four stations are located at some of California's densest employment hubs and would become well connected once HSR becomes fully operational in the state.

Out of the four non-dominated stations proposed as solutions, the proposed Millbrae-SFO and San Francisco Transbay Terminal stations are located very close to each other. The San Francisco Transbay Terminal station is proposed to be the terminal station of the HSR line. The proposed

Millbrae station already serves Caltrain and Bay Area Rapid Transit (BART) modes near San Francisco International Airport (SFO). The enhanced transit connectivity provided by the HSR station at Millbrae-SFO will encourage surrounding station area development and promote economic growth in conjunction with other existing transportation modes. Currently, a draft environmental document is underway for determining the Millbrae-SFO station location and alignment. The proposed HSR station in San Francisco is the Salesforce Transit Center (STC), which will serve 11 transportation systems. This proposed HSR station in San Francisco has been environmentally cleared by the Transbay Joint Powers Authority (TJPA). Fullerton's proposed station is currently under evaluation on the Los Angeles to Anaheim HSR project section. The proposed HSR station of San Diego is to be located close to the San Diego International Terminus. Thus, the station will facilitate access to the air transportation mode once HSR becomes operational.

The findings could serve as valuable information prompting California HSR authorities to develop the four aforementioned vital stations that could generate an alternate funding source for an HSR project facing funding challenges.

I. Introduction and Background

High-speed rail (HSR) promotes a region's economic integration by enhancing competitiveness and achieving greater cohesion among people (Cheng et al., 2015). However, in the United States, the full potential of HSR still needs to be realized. Current progress in HSR development in the country has either been slow or uncertain. Examples of the HSR development have been in Texas that would connect Houston and Dallas and the California HSR program proposed to connect at least 26 different urban and rural cities (Geffen, 2018). Findings suggest that the HSR is needed in the United States to connect economically disadvantaged regions (Chandra and Vadali, 2014). However, major challenges need to be overcome in support of HSR projects, including planning its alignment without disputes/lawsuits, land acquisitions, environmental clearance, etc. Among these challenges, the availability of capital funds for HSR infrastructure construction, operations, and maintenance is often the most crucial.

Funding for large-scale infrastructure projects often involves partnerships with public entities at the local, regional, and/or national levels. However, unforeseen challenges thwart full-fledged funding of projects that use public funds. This is because public funds are often politically invested, temporally limited, tax-dependent, and sensitive to the public agency's economic health. As a result, funds provided primarily by public agencies often run short and hinder the timely completion of a large-scale infrastructure project. California's HSR project is one such example (Government Technology, 2020). Therefore, alternative sources of funding for HSR projects are always welcome.

The HSR serves as a fast transportation mode facilitating mobility, promoting safety, and increasing intermodal connectivity—very conducive for thriving businesses around its stations in cities (Diao, 2018). Several studies show that upgrades and improvements of rail-related infrastructure (such as station development, grade separations, etc.) have increased real estate value, and businesses prosper around those improvements (Cao and Porter-Nelson, 2016; Aldrete et al., 2018). However, guidance on determining the optimal location of such improvements to tap into the economic benefits is still missing in the research.

Projects that have limited funding but are deemed important use innovative methods like the Transportation Reinvestment Zone (TRZ), similar to value capture, to pay off capital loans. TRZ has been emerging as an alternative revenue generation tool for managing large-scale transportation improvement projects in states like Texas and elsewhere in the United States (Aldrete et al., 2018).

Several existing studies have evaluated economic growth potential to determine the economic benefits available to a region through rail station and transit-oriented developments (Zhang and Yen, 2020; Murakami and Cervero, 2010; Belzer et al., 2011). A vast majority of studies mention access improvements (as an indicator of economic growth potential) to justify the construction or revitalization of transportation facilities in a region (Gutiérrez, 2001; Chandra and Vadali, 2014).

Several studies provide evidence of the connection between HSR introduction in a region and property values. Hensher and Mulley (2012) examine the impact of accessibility delivered by HSR on land and property values and suggest that HSR can affect land values to varying degrees, including price premiums and price reductions. Earlier, Cervero and Duncan (2002) also identified the varying degrees of benefits and premiums to residential properties, especially for large apartments within a quarter-mile distance of rail transit stations. Another study by Shi and Guo (2009) on the Shanghai South Railway Station in China also concluded that impacts on housing prices were mainly experienced within a mile of proximity to the rail stations.

Literature on heavy rail transit from South Korea, the Netherlands, and Germany has corroborated the positive impacts of rail on residential housing prices (Bae et al., 2003; Debrezion et al., 2010; Brandt and Maennig, 2012). Earlier, Diaz (1999) identified a variety of factors that increase property values around rail transit. One of the factors was the increase in accessibility brought about by the new transit investment. A study by Ryan (1999) showed a relationship between transportation facilities and property values indicated that the use of travel time as a measure of accessibility gave the expected inverse relationships between access to transportation facilities and property values. However, the results for travel distance indicated mixed property value effects. Kilpatrick et al. (2007) examined two situations of transit corridors: one with both access benefits and negatives, and another without access benefit. The study criticized prior studies that only consider the overall impact on affected properties, combining positive public good and the negative externality, of the transit. The findings revealed that mere proximity to the corridor without direct access has a negative effect on housing values.

A study by Chen and Haynes (2015) showed that the Beijing-Shanghai HSR line increased the housing values in medium and small cities; however, negligible impacts were noted in larger capital cities. Edwards (2012) had found similar results for regional Australian towns traversed by the HSR, causing agglomeration benefits and benefits to cities that had a HSR station. Studies on HSR in Taiwan (Andersson et al., 2010) and China's large cities like Shanghai and Minhang (Rungskunroch et al., 2020), along with a Delphi survey by Loukaitou-Sideris et al. (2012), concluded that the impacts of HSR depend on the context and circumstances such as the extent of regional accessibility, city development plans, and so on.

For HSR projects, careful consideration is required during the planning phase because of the financial hurdles and the time it takes to start service and operations. The ability to create a financial plan is essential to the construction of the HSR. Several examples of partnerships involve shared funding commitments between public and private entities for HSR projects. The appeal of socio-economic returns allows governments to provide public funding, while the appeal of financial return allows private investors to provide private funding. The trans-European HSR project had multiple forms of funding measures (such as loans) for their member states from the Trans-European Transport Networks (TEN) budget line, as well as a European Investment Bank (EIB) and European Investment Fund (EIF) loan (Roll and Verbeke, 1998). It is common for the Chinese government to provide financial assistance for HSR infrastructure construction at about

¥600 billion RMB (about \$91 billion USD) per year (Long and Zhang, 2019). As for India, the HSR line that will connect Mumbai and Ahmedabad will cost around ₹977 billion INR (about \$13 billion USD), although the external sponsor, the Japan International Cooperation Agency (JICA), will contribute almost 80% of the project costs (Raghuram and Udayakumar, 2016). The funding for the Taiwan High Speed Rail (THSR) came from two sources: shareholder equity accounted for 20%, and local banking groups took care of the remaining 80% (Cheng, 2010). Table 1 presents a compilation of funding sources for some examples of HSR projects in various European jurisdictions, plus California.

Table 1. Examples of Funding Sources for High-Speed Rail (HSR)

Name	Location	Funding	Amount (USD equivalent)	Year Reported	Reference(s)
Lisbon-Madrid high-speed rail line	Portugal	European Regional Development Fund	€205.1m (\$239.41m)	2016	TPF, 2020
High-speed rail in Italy (Turin-Lyon line)	Italy and France	European Union	40% of €26 billion (\$12.14b)	Mid 2019	Railway Technology, 2020
Brescia High Speed Line	Italy	European Commissioner for Transport	€1.7 billion (\$1.98b)	December 2008	Railway Gazette International, 2020
RailJet	Austria	Liechtenstein (33.75%) and Austria (Österreichische Bundesfinanzierungsagentur, OeBFA)	€63 million [Liechtenstein (\$73.54m)] and the remainder from Austria	2016	International Railway Journal, 2020
High Speed Train Sweden (SJ AB)	Sweden	NIB (Nordic Investment Bank) and the Swedish passenger train operator	€144 million (\$170m)	2020	Nordic Investment Bank, 2020
High-Speed Train Madrid-Castilla La Mancha-Comunidad Valenciana-Region of Murcia	Spain	EU's European Regional Development Fund	\$51.5 million	2007–2013	European Commission, 2020a
HST railway station in Guillemins	Belgium	European Regional Development Fund (ERDF)	\$53.36 million	2009	European Commission, 2020b
California High-Speed Rail (proposed)	CA	American Recovery and Reinvestment Act of 2009 (ARRA)	\$2.5 billion	2009	California High-Speed Rail Authority, 2020c
		Transportation, Housing and Urban Development grant 2010	\$939 million	2010	
		Cap-and-Trade Program	25 percent of the annual proceeds	2014–2030	

II. Research Contribution

Public authorities seek sustained funds to complete large-scale infrastructure projects and studies show that for rail transit, revenue collected from property tax collections from surrounding parcels of rail stations could fulfill the funding needs. However, there is no clear guidance on the procedures that the public authorities can adopt to identify one or more key HSR stations for development and subsequent revenue generation. Guidance is needed to help reduce the loans or debts incurred in the construction of HSR infrastructure. Several competing factors and objectives need to be considered in this process. A multi-objective optimization approach is needed for this purpose.

This research proposes a bi-objective optimization methodology by incorporating the ‘value capture’ and ‘attractiveness’ potential of stations considered for development. A station that would yield the largest values for both the value capture and attractiveness objectives should be selected for development. The value capture potential is estimated by maximizing the revenue potential whereas the attractiveness is calculated by maximizing the percentage change in the station’s potential accessibility. Subsequently, a Pareto-optimal front is constructed by comparing the two objective functions across candidate stations being analyzed. The Pareto-optimal front is the set of non-dominated solutions that is considered as optimal. A non-dominated solution in the Pareto-optimal front is a set of objective function values that are not dominated by values of any other pair of objective functions in the solution set.

Stations that rank highest in revenue collection through value capture and potential accessibility in terms of attractiveness form the front. The methodology can be used to study the case of California’s HSR, which urgently needs to attract businesses around its key proposed stations and increase the revenue potential, and those stations becoming promising as hubs of economic activity. This can motivate continued investment in HSR to promote its completion and its successful operation to benefit Californians.

Substantial resources have already gone into funding the HSR program—almost ten years of effort—and an unfinished project could lead to the loss of jobs that have been sustained by the HSR program. Thus, innovative funding mechanisms that have often proved to be effective for large-scale infrastructure projects could be evaluated for California’s HSR completion. There are limited literatures on tools to leverage funds from evaluating all aspects of economic benefits accrued from HSR construction and completion. Alternative financing sources, such as value capture, can be explored to fund California’s HSR program, which should be achieved through sustainable and innovative means. The findings from this proposed research would help decision makers determine benefits that have not yet been thought of being harnessed if completion of HSR segments is carried out at strategic locations to connect critical stations and making HSR operational. The methodology presented in this research can be used to achieve this purpose. The goal is to determine those HSR stations that could trigger increases in revenue potential and accessibility to generate further economic activity surrounding the stations. The methodology

proposed in this research can also be applied to study other HSR projects that are facing similar funding challenges.

III. Methodology

A proposed HSR station can be analyzed for its potential to produce economic and financial benefits upon development and improvement. These improvements could attract businesses to the vicinity, ultimately leading to land value increase surrounding the station. The expected outcome due to the improvement, therefore, supports the analysis for their revenue generation potential and the extent of economic activity (e.g., employment growth) in their vicinity.

Research shows that not every HSR station promotes increased economic activity, and impacts vary based on the station's city (Chen and Haynes, 2015). Therefore, it will be useful to know which stations could be targeted for development and improvement to cause increased economic activity in the stations' surroundings for revenue generation as well as growth in economic potential. Such an investigation would also provide information on the extent and magnitude of these economic impacts once the key stations become operational for service.

Therefore, in this research, a methodology is proposed to solve a bi-objective optimization problem. The optimization problem seeks to identify one or more HSR stations that have the largest increase in revenue generated from tax collected from the real estate properties surrounding the station and the largest increase in the station's potential accessibility value. However, this might not be possible: i.e., a station could have the largest potential accessibility increase but its revenue generation could lag. For a better understanding of the interaction between the potential accessibility and revenue generation, formulations are developed for each of the two objectives as follows.

3.1 Maximizing Revenue Potential

Value capture is commonly used in Europe and the United States for revenue generation to fund transit (Salon et al., 2019). For example, existing laws in California provide guidance (and regulation) in funding infrastructure projects; a tax increment tool called the Enhanced Infrastructure Financing District (EIFD), similar to value capture, is used for economic development (League of California Cities, 2019). EIFD authorizes a city's legislative body or a county within the state to use tax increment financing (TIF) to finance various infrastructure improvement projects within its jurisdiction. EIFD enables cities to provide a stable funding source for infrastructure projects, exert leverage, and induce private investments. For an HSR station, TIF-based EIFD would depend on tax collected from surrounding properties. Therefore, stations with high property taxes collected from parcels surrounding the station will be favored for development and improvement.

The first objective function for the optimization problem aims to maximize the total property tax from every parcel within a given threshold distance from a station. Thus, the objective function for maximizing revenue generated, $\max(RP_i)$, can be written as

Objective function 1: Maximization of revenue generated

$$\max(RP_i) = \sum_k a_{i,k}^D, \text{ and } k \in P \quad (1)$$

where

$a_{i,k}^D$ = property tax collected from parcel k within a (threshold) distance D from station i

P = total number of parcels.

3.2 Maximizing Accessibility

Accessibility is often used as an indicator for the economic potential of a location (Chandra and Vadali, 2014). In this research, a proposed HSR station's economic potential is assessed using its accessibility, which would entail future growth in surrounding property values. The formula for accessibility adopted in this research is based on the potential accessibility derived by Chandra and Mazin (2020). Therefore, the potential accessibility (PA_i) of a HSR station i is expressed as

$$PA_i = \sum_j \frac{b_{i,j}}{F(I_{i,j})}, \text{ } i \neq j \text{ and } j \in N \quad (2)$$

where

b_{ij} = total riders boarding the origin station i to reach destination station j

N = total number of stations in the rail transportation network

$F(I_{i,j})$ = the impedance function with I_{ij} could be assumed to be the distance, travel time, energy cost etc. and is incurred from a given origin station i to a destination station j .

The function assumes a gravity-based form proposed by Hansen (1959) with a decay parameter α , and thus, the function can be simply written as

$$F(I_{i,j}) = I_{i,j}^\alpha \quad (3)$$

The decay parameter α in Eq. (3) indicates the variation in accessibility between an origin i and a destination j . In other words, the value of the decay parameter determines how far rail commuters would travel from the origin i to destination j using a mode. In practice, the decay parameter needs travel demand data for calibration and estimation. However, as a rule of thumb, the decay parameter value is often assumed to be 1 in the absence of travel demand data (Gutiérrez, 2001).

The accessibility formula shown in Eq. (2) describes a direct relationship between commuters boarding an origin station and traveling to another destination station. In the absence of exact ridership comparison between stations, the number of commuters using the HSR can be assumed to be proportional to the magnitude of employment from industries within a given threshold

distance around its stations. Numerous studies have also shown that transit ridership is proportional to the population size (Liu et al., 2016; Hiramatsu, 2018). Therefore, in the absence of actual ridership data for Eq. (1), population or employment around a station can be used for an approximation.

With the further assumption that the average speed of the HSR is constant between any two stations, the impedance function in Eq. (2) would be directly proportional to the average travel time taken between the stations. Thus, the accessibility for a station in Eq. (2) can be rewritten as

$$PA_i = \sum_j \frac{b_{i,j}}{t_{i,j}^\alpha}, \quad i \neq j \text{ and } i, j \in N \quad (4)$$

where $t_{i,j}$ is the travel time with HSR between the station i (as origin) and station j (as destination) along the rail network.

A station that has the largest value for potential accessibility change (as a percentage) should be selected for development and improvement. This would entail sustained economic growth around the station. In this research, the percentage change in PA_i for a station i before and after an improvement is used to evaluate the largest value of potential accessibility change. The percentage change in PA_i for a station i is calculated as future year PA_i ('after' scenario with the HSR line) minus base year PA_i ('before' scenario without the HSR line), and the difference is divided by base year PA_i ('before' scenario without the HSR line). The percentage change in PA_i is obtained by multiplying the ratio by 100. Therefore, the second objective function maximizing the percentage change in potential accessibility of a station i , $\max(\Delta PA_i)$, is expressed as

Objective function 2: Maximization of potential accessibility

$$\max(\Delta PA_i) = \left(\frac{\sum_j \frac{b_j^{after}}{(t_{i,j}^{after,HSR})^\alpha} - \sum_j \frac{b_j^{before}}{(t_{i,j}^{before,highway})^\alpha}}{\sum_j \frac{b_j^{before}}{(t_{i,j}^{before,highway})^\alpha}} \right) \times 100, \quad i \neq j \text{ and } i, j \in N \quad (5)$$

where

b_j^{after} = employment surrounding a HSR station j after HSR is operational

b_j^{before} = employment surrounding a HSR station j before HSR is operational

$t_{i,j}^{after,HSR}$ = travel time from station i to station j with HSR operational

$t_{i,j}^{before,highway}$ = travel time from a city with station i to a city with station j using highway.

This method of evaluating percentage change in PA_i with normalization is justified in studies by Chandra and Mazin (2020) and Chandra and Vadali (2014). In this way, each station i is evaluated for its attractiveness resulting from the increased employment weighted access to stations.

3.3 Bi-Objective Design

With the two objective functions defined in Eqs. (1) and (5), the next step is to determine stations that satisfy both functions. Therefore, solutions are sought for the bi-objective optimization problem with a general formulation adapted from Brisset and Gillon (2015). Solutions are presented below for the two objective functions:

$$\begin{aligned}
 &\text{maximize } \mathbf{F}(\mathbf{x}) = [f_1(\mathbf{x}), f_2(\mathbf{x})] \\
 &\text{subject to: } g_r(\mathbf{x}) \leq 0 \quad r = 1, \dots, n_r \\
 &\quad \quad \quad h_s(\mathbf{x}) = 0 \quad s = 1, \dots, n_s \\
 &\text{with } \mathbf{x} = [x_1, \dots, x_c, \dots, x_n] \text{ and } x_c^l \leq x_c \leq x_c^u
 \end{aligned} \tag{6}$$

where

$\mathbf{F}$ = set of two objective functions

$g_r(\mathbf{x})$ = total n_r inequality constraints involving the variables $\mathbf{x}$ used in revenue potential and percentage change in accessibility

$h_s(\mathbf{x})$ = total n_s equality constraints involving the variables $\mathbf{x}$ used in revenue potential and percentage change in accessibility

$\mathbf{x}$ = vector containing n variables (that make up the revenue potential and percentage change in accessibility formula)

x_c^l = lower limit to the variable x_c

x_c^u = upper limit to the variable x_c .

The variable n is the number of stations as the elements of vector $\mathbf{x}$. A station can be included in the Pareto front if it has particular values for revenue potential and accessibility and dominates other stations for these two values. The following condition should be satisfied:

$$f_i(\mathbf{x}_1) \leq f_i(\mathbf{x}_2) \quad \forall i \in \{1, \dots, m\} \text{ and } \exists j \in \{1, \dots, m\} \mid f_j(\mathbf{x}_1) < f_j(\mathbf{x}_2) \tag{7}$$

A station is considered non-dominated or Pareto-optimal if no other station dominates it across the two objective functions. All non-dominated stations are on the Pareto front. Thus, one or more stations that fall into the Pareto front, as per the condition imposed by Eq. (7), can determine the outcome of the bi-objective optimization approach expressed using Eq. (6). This means a station that falls on the Pareto front qualifies to be selected for improvement and development to satisfy the two objective functions: i.e., maximization of the potential accessibility and revenue generation.

IV. Application of the Method

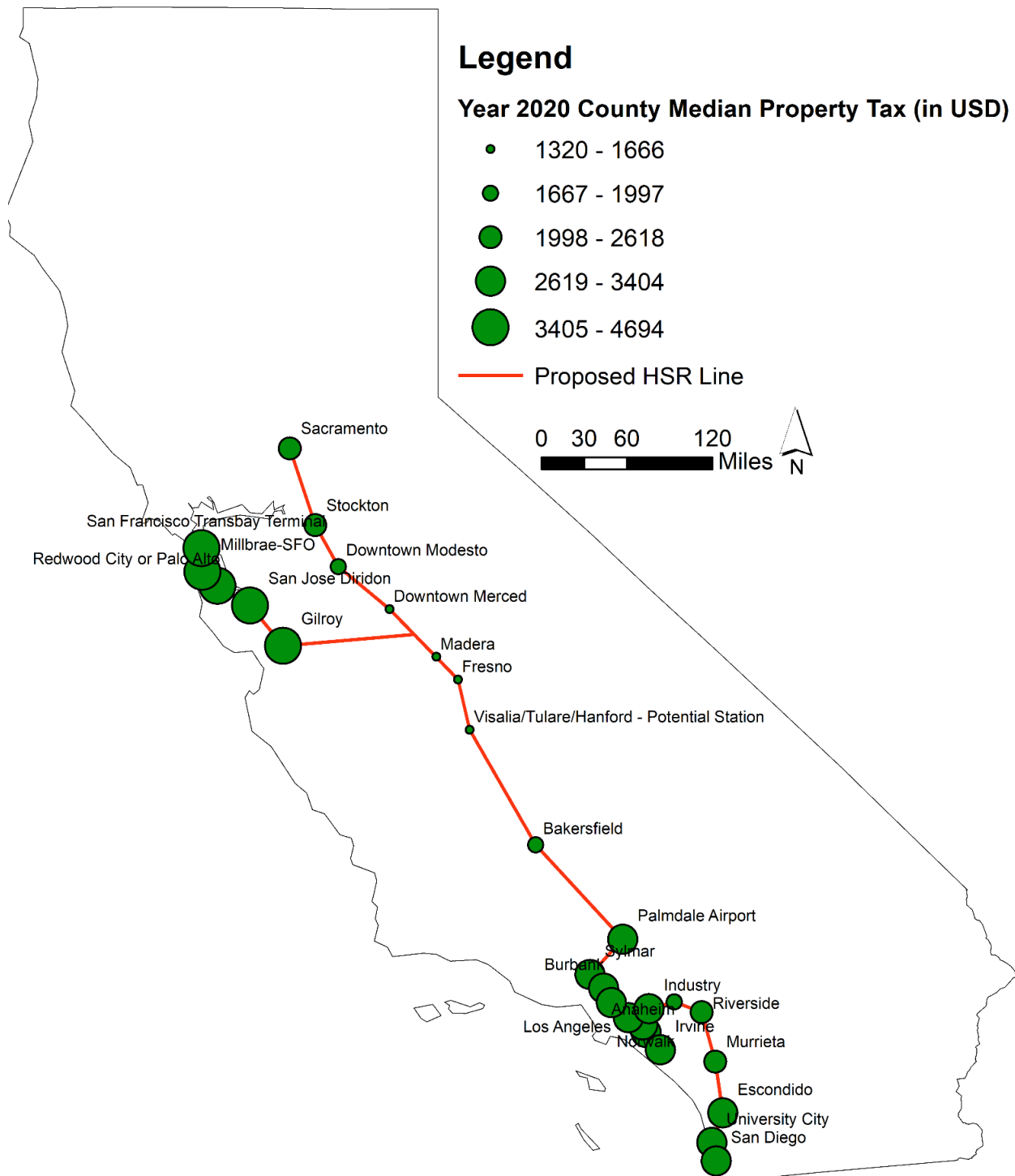
California HSR has recently faced uncertainty in funding from its federal partner, the Federal Railroad Administration (FRA, 2019). In May 2019, the FRA cancelled its entire funding initially intended for the completion of the HSR program. The primary reason cited was the slow progress of the project, and it was also understood as a response to the Governor's announcement that only a short segment section of the HSR line would be completed linking Merced and Bakersfield in the state's Central Valley.

The county property tax is used to evaluate revenue potential as expressed in objective function 1 (i.e. maximizing revenue potential) of Eq. (1). In the absence of actual data needed for parcels' property taxes surrounding the stations, the median property taxes at the spatial level of counties are used as an approximation (data from Tax-rates.org, 2020).

Research shows that economic impacts due to transit improvement are primarily concentrated within a quarter-mile radius from the improvement (Cervero and Duncan, 2002). Therefore, parcels within a quarter-mile radius surrounding a station are considered for the total property tax calculation for objective function 1. The number of parcels surrounding an HSR station is collected from the 2014 California Parcels Dataset from Los Angeles County GIS webpage (LA County GIS, 2020).

The map in Figure 1 shows the proposed California HSR line and the stations with county median property taxes for properties surrounding each station.

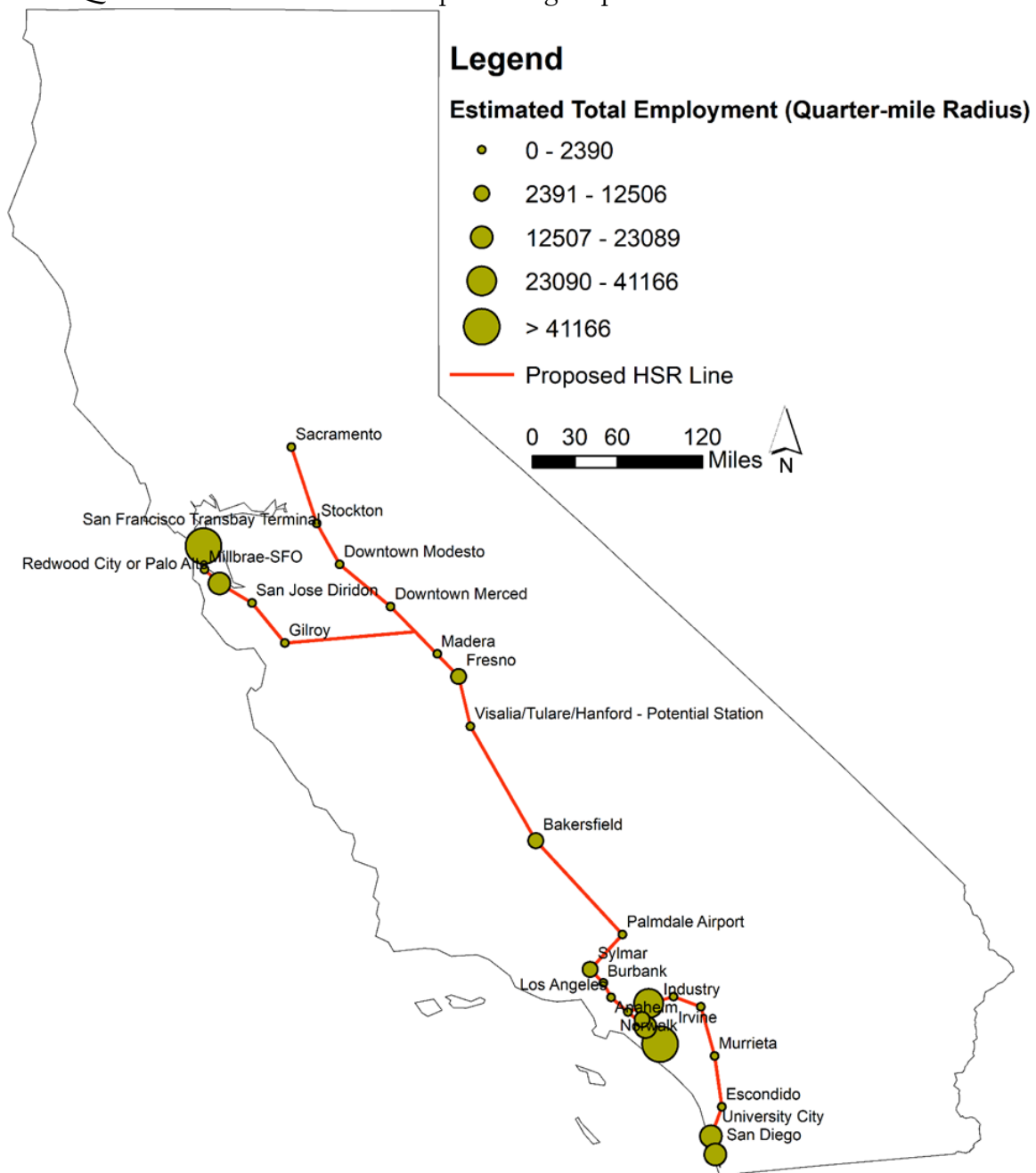
Figure 1. Spatial Distribution of Property Tax Surrounding the Proposed High-Speed Rail Stations in California



Employment data needed for the accessibility calculation in Eq. (5) are obtained from the Longitudinal Employer-Household Dynamics (LEHD) that provides the data years 2002 through 2017 (LEHD, 2020). The employment is extrapolated to 2020 with the anticipated HSR completion by 2022.

The map in Figure 2 shows the spatial variation in total employment for the year 2020 from all the industry sectors within a quarter-mile distance surrounding the proposed stations.

Figure 2. Spatial Distribution of the Estimated Total Employment for the Year 2020 within a Quarter-Mile Radius of the Proposed High-Speed Rail Stations in California



For impedance used in the accessibility formulation, the travel time skim matrix was obtained by dividing the distance between two stations by the assumed average speed of 200 miles per hour for the HSR (California High-Speed Rail, 2020b). The spatial maps for the HSR line and stations

(total 28) shown in Figs. 1 and 2 were created using data from the California High-Speed Rail Authority (California High-Speed Rail, 2020a).

The data collected were finally used in determining the objective functions under Eqs. (1) and (5) and the outcome discussed in the next section.

V. Results and Discussion

The constraints used in the bi-objective optimization are such that both the revenue potential and the percentage change in potential accessibility are assumed to be positive. The analysis of the revenue potential using Eq. (1) shows that the proposed HSR stations of San Diego and San Francisco Transbay Terminal have the highest revenue potential among other proposed HSR stations. This is because the number of parcels within a quarter-mile distance is higher than the corresponding values for the other stations. Thus, if the focus is solely on generating revenue from property taxes under EIFD tax increment strategy, these two HSR stations should be developed and improved. The HSR stations of Millbrae-SFO and San Jose Diridon are the next two stations that should be considered for development and improvement for revenue generation purposes. (The spatial location of these four HSR stations is shown in Fig. 3.)

If the focus is on maximizing the potential accessibility (Eq. (5)), the stations of Fullerton, Millbrae-SFO, Norwalk, and Anaheim should be preferred for development and improvement. These four stations have the largest percentage change in potential accessibility. The high percentage change in accessibility value for these four stations can be attributed to their proximity to other stations with high employment within the quarter-mile distance threshold. (Fig. 4 shows the spatial variation in the percentage change in potential accessibility across the HSR stations.)

After obtaining the outputs from the bi-objective optimization, the authors constructed the Pareto-optimal front. The Pareto-optimal front presented in Figure 5 shows that the four proposed HSR stations of Fullerton, Millbrae-SFO, San Francisco Transbay Terminal, and San Diego stand out as the non-dominated solutions. These four stations are located at some of California's densest employment hubs and would become well-connected once HSR becomes fully operational in the state. Out of the four non-dominated stations, the proposed Millbrae-SFO and San Francisco Transbay Terminal stations are located very close to each other. The San Francisco Transbay Terminal station is proposed to be the end station of the HSR line.

The proposed Millbrae station already serves the Caltrain and Bay Area Rapid Transit (BART) modes near San Francisco International Airport (California High-Speed Rail Authority, 2020d). With the enhanced transit connectivity provided by the HSR station at Millbrae-SFO, the station will encourage surrounding station area development and promote economic growth in conjunction with other existing transportation modes. Currently, a draft environmental document is underway for determining the Millbrae-SFO station location and alignment.

The proposed HSR station in San Francisco is the Salesforce Transit Center (STC), which will serve eleven transportation systems (California High-Speed Rail Authority, 2020e). The current status of this proposed HSR station in San Francisco is that it has been environmentally cleared by the Transbay Joint Powers Authority (TJPA).

Fullerton's proposed station is currently under evaluation on the Los Angeles to Anaheim Project Section (California High-Speed Rail Authority, 2020f). The proposed San Diego HSR station is to be located close to the San Diego International Terminus (California High-Speed Rail Authority, 2020g). Thus, the station will facilitate access to the air transportation mode once HSR becomes operational.

Figure 3. Spatial Variation in the Revenue Potential of Proposed HSR Stations in CA

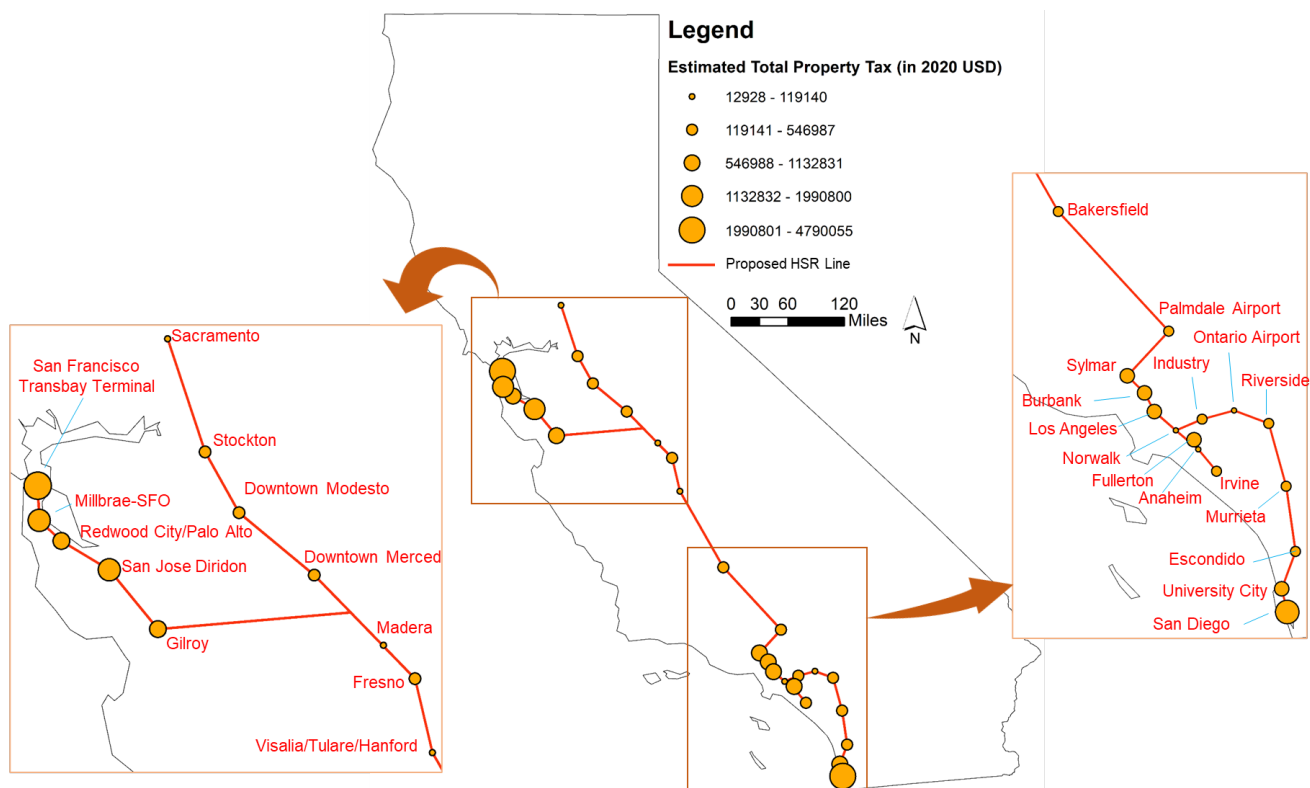


Figure 4. Spatial Variation in the Percentage Change in Potential Accessibility of the Proposed HSR Stations in CA

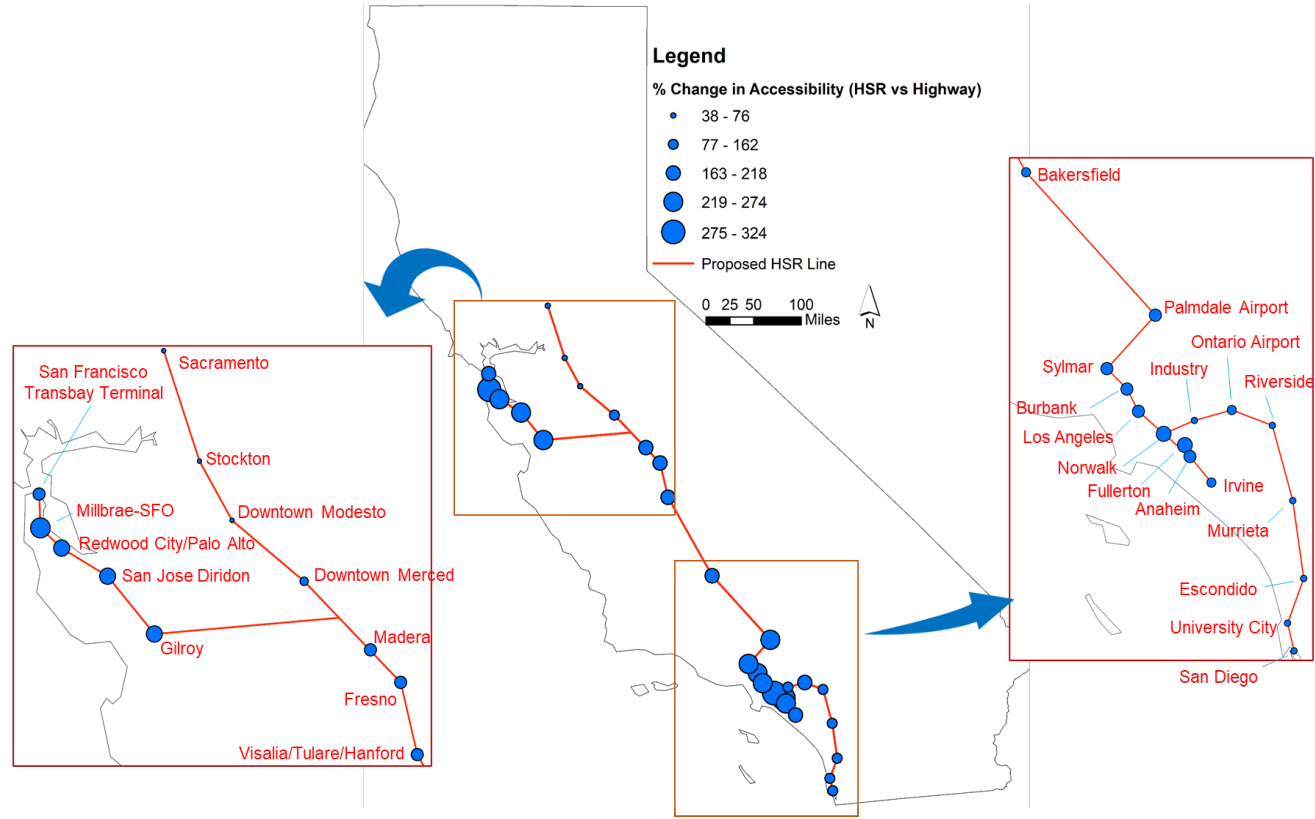
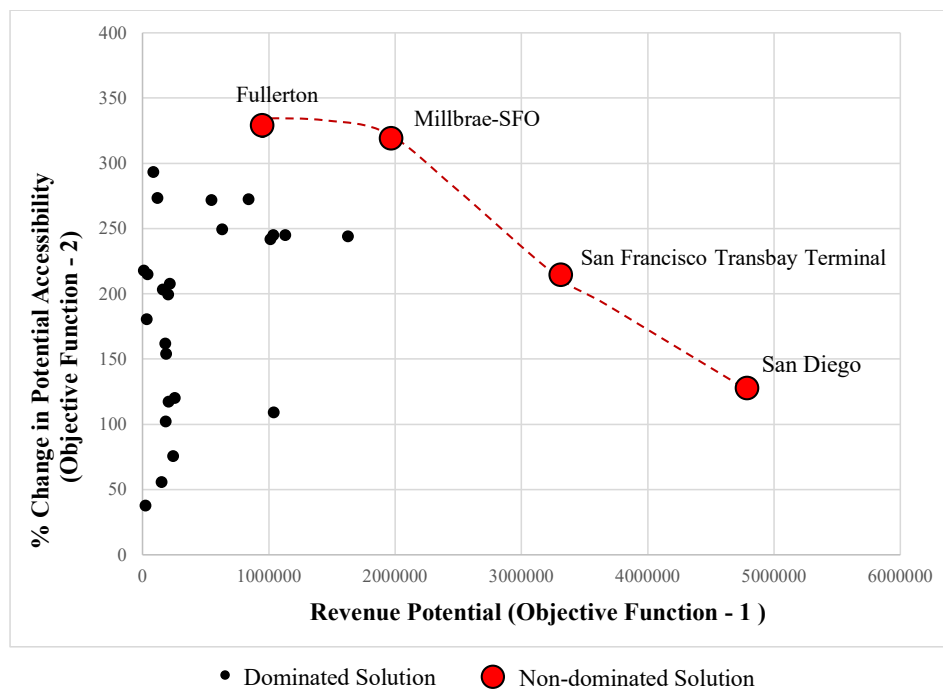


Figure 5. Pareto-Optimal Solution Representation for a Bi-Objective Optimization Problem



VI. Summary and Conclusions

The HSR serves as a fast surface transportation mode facilitating mobility between two spatially separated regions with stations. HSR stations serve as points of connectivity and are selected to be hotspots of economic activities. With the purpose being to spur economic growth with HSR, authorities upgrade and improve existing station infrastructure. Economic growth includes an increase in real estate value and businesses surrounding the stations. However, developing, upgrading, or improving an HSR station requires funds that are often limited. Therefore, various funding options should be explored to promote the development and upgrade of HSR stations to standards that can attract businesses in the surrounding area.

In this research, a methodology is presented that can be deployed to identify stations that could have the potential to attract economic activities after upgrades. It involves using a bi-objective optimization framework for identifying one or more HSR stations from a list of candidates for development. The objective functions maximize the revenue generated from tax collected from the station's surrounding real estate properties and the station's potential accessibility. Subsequently, the solution is presented by constructing a Pareto-optimal front with key proposed stations that decision-makers can focus on for development and upgrade.

Using California's 28 HSR stations as an example, the Pareto-optimal front showed that the four proposed HSR stations of Fullerton, Millbrae-SFO, San Francisco Transbay Terminal, and San Diego would be the best suited for development to increase economic vitality in their surroundings. These four stations stand out as the non-dominated solution of the constructed Pareto-optimal front. The finding could serve as valuable information for California HSR authorities to develop these four key stations to generate an alternate funding source for the HSR project facing funding challenges.

Thus, this research provides useful guidance that HSR authorities and stakeholders can use to identify stations with high economic growth and accessibility potential for a region. Alternatively, the knowledge developed from this research might also help stimulate real estate value increase and business growth surrounding a station by improving its accessibility to other stations on the HSR line.

Bibliography

- Aldrete, R. M., C. J. Kruse, D. Salgado, S. R. Vadali, A. Mudgal, J. C. Villa, ..., and D. S. Bae. "Leveraging the Value of Land and Landside Access to Fund Port Infrastructure in Texas." *Transportation Research Record* 2672, no. 11 (2018): 41–52.
- Andersson, D. E., O. F. Shyr, and J. Fu. "Does High-Speed Rail Accessibility Influence Residential Property Prices? Hedonic Estimates from Southern Taiwan." *Journal of Transport Geography* 18, no. 1 (2010): 166–174.
- Bae, C. H. C., M. J. Jun, and H. Park. "The Impact of Seoul's Subway Line 5 on Residential Property Values." *Transport Policy* 10, no. 2 (2003): 85–94.
- Belzer, D., S. Srivastava, M. Austin, T. Bump, and J. Wood. "Transit and Regional Economic Development" (No. FTA CA-26-1007-03). 2011.
- Brandt, S., and W. Maennig. "The Impact of Rail Access on Condominium Prices in Hamburg." *Transportation* 39, no. 5 (2012): 997–1017.
- Brisset, S., and F. Gillon. "Approaches for Multi-Objective Optimization in the Ecodesign of Electric Systems." In *Eco-Friendly Innovation in Electricity Transmission and Distribution Networks* (pp. 83–97). Woodhead Publishing: 2015.
- California High-Speed Rail Authority (2020a). https://hsr.ca.gov/high_speed_rail/ (accessed September 22, 2020).
- California High-Speed Rail Authority (2020b). https://hsr.ca.gov/high_speed_rail/#:~:text=The%20system%20will%20run%20from,with%20up%20to%2024%20stations (accessed October 28, 2020).
- California High-Speed Rail Authority (2020c). Capital Costs & Funding. https://hsr.ca.gov/about/capital_costs_funding/ (accessed November 1, 2020).
- California High-Speed Rail Authority (2020d). Millbrae-SFO. https://hsr.ca.gov/high_speed_rail/station_communities/millbrae_sfo.aspx (accessed November 22, 2020).
- California High-Speed Rail Authority (2020e). San Francisco. https://hsr.ca.gov/high_speed_rail/station_communities/millbrae_sfo.aspx (accessed November 22, 2020).
- California High-Speed Rail Authority (2020f). Los Angeles to Anaheim. https://hsr.ca.gov/high_speed_rail/station_communities/millbrae_sfo.aspx (accessed November 22, 2020).
- California High-Speed Rail Authority (2020g). Los Angeles to San Diego. https://hsr.ca.gov/high_speed_rail/station_communities/millbrae_sfo.aspx (accessed November 22, 2020).
- Cervero, R., and M. Duncan. "Benefits of Proximity to Rail on Housing Markets: Experiences in Santa Clara County." *Journal of Public Transportation* 5, no. 1 (2002): 3.
- Chandra, S., and R. Mazin. "Quantifying Rail Transit Investments with Appropriate Measures and Metrics." *World Review of Intermodal Transportation Research* 9, no. 4 (2020): 313–333.

- Chandra, S., and S. Vadali. "Evaluating Accessibility Impacts of the Proposed America 2050 High-Speed Rail Corridor for the Appalachian Region." *Journal of Transport Geography* 37 (2014): 28–46.
- Chen, Z., and K. E. Haynes. "Impact of High Speed Rail on Housing Values: An Observation from the Beijing–Shanghai Line." *Journal of Transport Geography* 43 (2015): 91–100.
- Cheng, Y. H. (2010). "High-Speed Rail in Taiwan: New Experience and Issues for Future Development." *Transport Policy* 17, no. 2 (2010): 51–63.
- Cheng, Y. S., B. P. Loo, and R. Vickerman. "High-Speed Rail Networks, Economic Integration and Regional Specialisation in China and Europe." *Travel Behaviour and Society* 2, no. 1 (2015): 1–14.
- Debrezion, G., E. Pels, and P. Rietveld. "The Impact of Rail Transport on Real Estate Prices: An Empirical Analysis of the Dutch Housing Market." *Urban Studies* 48, no. 5 (2011): 997–1015.
- Diao, M. "Does Growth Follow the Rail? The Potential Impact of High-Speed Rail on the Economic Geography of China." *Transportation Research Part A: Policy and Practice* 113 (2018): 279–290.
- Diaz, R. B., and V. A. Mclean. "Impacts of Rail Transit on Property Values." In *American Public Transit Association Rapid Transit Conference Proceedings* (pp. 1–8), May 1999.
- Edwards, N. "High Speed Rail: Benefits that Add Up: A Report for the Australian Greens." 2012.
- European Commission (2020a). "Madrid extends high-speed rail link along eastern coast." https://ec.europa.eu/regional_policy/en/projects/major/spain/madrid-extends-high-speed-rail-link-along-eastern-coast (accessed November 3, 2020).
- European Commission (2020b). "The new Guillemins district in Liège, Belgium." https://ec.europa.eu/regional_policy/en/projects/best-practices/Belgique%20-%20Belgi%C3%83%C2%AB/1774 (accessed November 3, 2020).
- Federal Railroad Administration (FRA). "Statement of Federal Railroad Administration on Termination of FY '10 Grant Agreement with California High-Speed Rail Authority." 2019. <https://cms7.fra.dot.gov/newsroom/statement-federal-railroad-administration-termination-fy-%E2%80%9810-grant-agreement-california> (accessed November 22, 2020).
- Geffen, C. "The Potential for High-Speed Rail in the US." In *Sustainable Innovation and Impact* (pp. 220–230). Routledge: 2018.
- Government Technology (govtech.com). "California High-Speed Rail Faces Mounting Financial Woes." <https://www.govtech.com/fs/transportation/California-High-Speed-Rail-Faces-Mounting-Financial-Woes.html> (accessed November 22, 2020).
- Gutiérrez, J. "Location, Economic Potential and Daily Accessibility: An Analysis of the Accessibility Impact of the High-Speed Line Madrid–Barcelona–French Border." *Journal of Transport Geography* 9, no. 4 (2001): 229–242.
- Hansen, W. G. "How Accessibility Shapes Land Use." *Journal of the American Institute of Planners* 25, no. 2 (1959): 73–76.

- Hensher, D., Z. Li, and C. Mulley. "The Impact of High Speed Rail on Land and Property Values: A Review of Market Monitoring Evidence from Eight Countries." *Road & Transport Research: A Journal of Australian and New Zealand Research and Practice* 21, no. 4 (2012): 3.
- Hiramatsu, T. "Job and Population Location Choices and Economic Scale as Effects of High Speed Rail: Simulation Analysis of Shinkansen in Kyushu, Japan." *Research in Transportation Economics* 72 (2018): 15–26.
- International Railway Journal. "Austria and Liechtenstein to finance S-Bahn project." <https://www.railjournal.com/infrastructure/austria-and-liechtenstein-to-finance-s-bahn-project/> (accessed November 3, 2020).
- Kilpatrick, J., R. Throupe, J. Carruthers, and A. Krause. "The Impact of Transit Corridors on Residential Property Values." *Journal of Real Estate Research* 29, no. 3 (2007): 303–320.
- LA County GIS. 2014 California Parcels Dataset. <http://egis3.lacounty.gov/dataportal/2015/09/11/california-statewide-parcel-boundaries/> (accessed April 2, 2016).
- League of California Cities, Enhanced Infrastructure Financing District. "Tax Increment Tools." <https://www.cacities.org/Policy-Advocacy/Hot-Issues/New-Tax-Increment-Tools> (accessed December 12, 2020).
- Liu, C., S. Erdogan, T. Ma, and F. W. Ducca. "How to Increase Rail Ridership in Maryland: Direct Ridership Models for Policy Guidance." *Journal of Urban Planning and Development* 142, no. 4 (2016): 04016017.
- Long, Y., and W. Zhang. "Prioritizing Future Funding and Construction of the Planned High-Speed Rail Corridors of China—According to Regional Structure and Urban Land Development Potential Indices." *Transport Policy* 81 (2019): 381–395.
- Longitudinal Employer-Household Dynamics (LEHD). <https://onthemap.ces.census.gov/> (accessed August 2, 2020).
- Loukaitou-Sideris, A., D. Cuff, T. Higgins, and O. Linovski. "Impact of High Speed Rail Stations on Local Development: A Delphi Survey." *Built Environment* 38, no. 1 (2012): 51–70.
- Murakami, J., and R. Cervero. "California High-Speed Rail and Economic Development: Station-Area Market Profiles and Public Policy Responses." In Symposium, University of California, Berkeley Faculty Club, December 2010.
- Nordic Investment Bank (NIB). "NIB finances new high-speed trains in Sweden." https://www.nib.int/who_we_are/news_and_media/news_press_releases/3581/nib_finance_new_high-speed_trains_in_sweden#:~:text=NIB%20and%20the%20Swedish%20passenger,between%20Stockholm%2C%20Copenhagen%20and%20Oslo (accessed November 3, 2020).
- Raghuram, G., and Prashanth D. Udayakumar. "Dedicated High Speed Rail Network in India: Issues in Development." IIMA Working Papers WP 2016-03-58, Indian Institute of Management Ahmedabad, Research and Publication Department, 2016.

- Railway Technology. “Is the Turin-Lyon high-speed railway still viable?” <https://www.railway-technology.com/features/future-of-turin-lyon-high-speed-railway/> (accessed November 8, 2020).
- Railway Gazette International. “Brescia high speed line construction begins.” <https://www.railwaygazette.com/nc/news/single-view/view/brescia-high-speed-line-construction-begins.html> (accessed November 8, 2020).
- Roll, M., and A. Verbeke. “Financing of the Trans-European High-Speed Rail Networks: New Forms of Public–Private Partnerships.” *European Management Journal* 16, no. 6 (1998): 706–713.
- Rungskunroch, P., Y. Yang, and S. Kaewunruen. “Does High-Speed Rail Influence Urban Dynamics and Land Pricing?” *Sustainability* 12, no. 7 (2020): 3012.
- Ryan, S. “Property Values and Transportation Facilities: Finding the Transportation-Land Use Connection.” *Journal of Planning Literature* 13, no. 4 (1999): 412–427.
- Salon, D., E. Sclar, and R. Barone. “Can Location Value Capture Pay for Transit? Organizational Challenges of Transforming Theory into Practice.” *Urban Affairs Review* 55, no. 3 (2019): 743–771.
- Shi, Y. S., and H. N. Guo. “Temporal-Spatial Impacts of the Shanghai South Railway Station on Housing Prices.” *Acta Geographica Sinica* 64, no. 2 (2009): 167–176.
- Tax-rates.org. <http://www.tax-rates.org/california/property-tax> (accessed November 22, 2020).
- TPF. “High Speed Rail Line Madrid – Lisbon / Porto.” <https://tpf.eu/projects/high-speed-rail-line-madrid-lisbon-porto/> (accessed November 2, 2020).
- Zhang, M., and B. T. Yen. “The Impact of Bus Rapid Transit (BRT) on Land and Property Values: A Meta-Analysis.” *Land Use Policy* 96 (2020): 104684.

About the Authors

Shailesh Chandra, PhD

Dr. Chandra is an associate professor in the Department of Civil Engineering and Construction Engineering Management at California State University, Long Beach (CSULB). He obtained his MS and PhD in civil engineering from Texas A&M University in 2009 and 2012, respectively. Dr. Chandra has more than twelve years of experience in transportation research focused on transport connectivity, transportation economics, accessibility, urban freight, and sustainability. He has been a principal investigator (PI) for several projects funded by various transportation agencies including the California Department of Transportation (Caltrans) and the United States Department of Transportation (USDOT).

Timothy Thai

Mr. Thai is an undergraduate student in the Department of Civil Engineering and Construction Engineering Management at CSULB. His research interests include railroad crossings and real estate analysis.

Vivek Mishra

Mr. Mishra is a graduate student in the Department of Computer Science and Computer Engineering at CSULB. His research interests relate to computer programming and transportation analysis.

Princeton Wong

Mr. Wong is an undergraduate student in the Department of Computer Science and Computer Engineering at CSULB. His research interests relate to blockchain technology, computer programming, and transportation.

MTI FOUNDER

Hon. Norman Y. Mineta

MTI BOARD OF TRUSTEES

**Founder, Honorable
Norman Mineta***

Secretary (ret.),
US Department of Transportation

**Chair,
Abbas Mohaddes**

President & COO
Econolite Group Inc.

**Vice Chair,
Will Kempton**

Retired Transportation Executive

**Executive Director,
Karen Philbrick, PhD***

Mineta Transportation Institute
San José State University

Winsome Bowen

Chief Regional Transportation
Strategy
Facebook

David Castagnetti

Co-Founder
Mehlman Castagnetti
Rosen & Thomas

Maria Cino

Vice President
America & U.S. Government
Relations Hewlett-Packard Enterprise

Grace Crunican**

Owner
Crunican LLC

Donna DeMartino

Managing Director
Los Angeles-San Diego-San Luis
Obispo Rail Corridor Agency

John Flaherty

Senior Fellow
Silicon Valley American
Leadership Forum

William Flynn *

President & CEO
Amtrak

Rose Guilbault

Board Member
Peninsula Corridor
Joint Powers Board

Ian Jefferies*

President & CEO
Association of American Railroads

Diane Woodend Jones

Principal & Chair of Board
Lea + Elliott, Inc.

David S. Kim*

Secretary
California State Transportation
Agency (CALSTA)

Therese McMillan

Executive Director
Metropolitan Transportation
Commission (MTC)

Jeff Morales

Managing Principal
InfraStrategies, LLC

Dan Moshavi, PhD*

Dean, Lucas College and
Graduate School of Business
San José State University

Toks Omishakin*

Director
California Department of
Transportation (Caltrans)

Takayoshi Oshima

Chairman & CEO
Allied Telesis, Inc.

Paul Skoutelas*

President & CEO
American Public Transportation
Association (APTA)

Beverley Swaim-Staley

President
Union Station Redevelopment
Corporation

Jim Tymon*

Executive Director
American Association of
State Highway and Transportation
Officials (AASHTO)

* = Ex-Officio

** = Past Chair, Board of Trustees

Directors

Karen Philbrick, PhD

Executive Director

Hilary Nixon, PhD

Deputy Executive Director

Asha Weinstein Agrawal, PhD

Education Director
National Transportation Finance
Center Director

Brian Michael Jenkins

National Transportation Security
Center Director



Exhibit SR-7

Funding High Speed Infrastructure



The Open Transportation Journal

Content list available at: <https://opentransportationjournal.com>



RESEARCH ARTICLE

Funding the High-Speed Rail: A Case Study of the California Project

Shailesh Chandra^{1,*} and Vivek Mishra²

¹Department of Civil Engineering and Construction Engineering Management California State University, Long Beach, United States

²Department of Computer Engineering & Computer Science California State University, Long Beach, United States

Abstract:

Introduction:

High-speed rail (HSR) projects are considered high-stake investments— both in construction, operation, and maintenance. Thus, HSR requires financing from various sources – public, private or a mix of both, as the case may be. Traditional funding for HSR has usually been the public funds through various bonds and taxes. However, public funds are not easy to come by and are usually subjected to strict audits and reviews. Therefore, alternative funding sources are always sought after, especially those that are sustainable.

Methods:

A multiobjective optimization problem is proposed in this paper encompassing revenue generation, accessibility maximization and workforce-centric access measure (WAM) consideration for financing HSR development costs and justifying its purpose. The procedure identifies key HSR stations that could be developed and improved to positively increase revenue collected through taxes on surrounding properties that appreciated due to the HSR, or the appreciation that either occurred through accessibility increase or WAM considerations from the HSR.

Results and Discussion:

Such key stations that score high in one or more of these considerations could be considered for further development by policymakers and planners. Based on the multiobjective optimization problem proposed in this paper, and with the California HSR as an example, the three proposed stations of San Francisco Transbay Terminal, University City and Downtown Merced are recommended to be developed and improved to attract economic growth with the HSR line.

Conclusion:

The findings could help authorities focus on these stations (and similar others) for a sustainable means of at least partially funding California's HSR project.

Keywords: High speed rail, High-stake, Audit, Workforce-centric access measure, Multi objective, Revenue generation.

Article History

Received: February 10, 2022

Revised: May 26, 2022

Accepted: June 20, 2022

1. INTRODUCTION

Despite the benefits being realized from high-speed rail (HSR) in terms of connecting people and influencing economic activity [1], its development in the United States is still currently 'a work-in-progress' and lies at varying stages, and somewhat slow and uncertain. There are examples of the HSR, such as in Texas, that is still in the proposal stages and is aimed to connect Dallas and Houston, while the California HSR program, which had temporary funding issues, has been ongoing and, once completed, will connect various urban and rural cities [2]. Various motivations are behind the idea of pursuing HSR developments in the United States, and the primary purpose is to connect the regions that need mobility as

well as those that need economic [3]. Nevertheless, the road to a complete HSR line in the country has been an uphill one with hurdles that primarily have risen due to reasons including funding crunch, land acquisition issues, environmental clearances, and planning. Out of all of these challenges, funding shortage for HSR construction has been the primary and critical factor that has held smooth progress. The basis of funding HSR projects lies in an effective investment from public agencies in the United States; however, these projects turn out to be large-scale infrastructure improvement endeavors encompassing various counties, possibly states of the country. Thus, various local, regional, and national interests become important when such projects are undertaken. With all of this, it makes sense to involve private players to contribute to offset the initial construction costs [4].

When it comes to using solely public funds, there are

* Address correspondence to this author at the Department of Civil Engineering and Construction Engineering Management California State University, Long Beach, United States; Tel: 5629854654; E-mail: shailesh.chandra@csulb.edu

several barriers that need to be overcome, including those that are political in nature. Politically motivated investments in large-scale projects are quite common but are also primarily derived from public taxes and, more importantly, dependent on the funding agencies' financial health. These have been the reasons for California's HSR, which will connect almost every populated city of the state [5]. Therefore, alternative means of funding HSR projects with the right goal and motivation are always a common pursuit by policymakers, investors, and researchers.

There are key benefits of the HSR, and one of these includes fast connectivity to remote locations, especially for congested cities with vehicular volumes. HSR also promotes safe transportation of people, and if integrated with other modes, it enhances the intermodal transportation network system. These benefits are highly beneficial for businesses that thrive around the HSR stations [6]. In general, it has been shown that infrastructure and operational improvements in rail transportation lead to an increase in property values around the stations and also encourage businesses and industries to set-up their locations close to the improved stations [7, 8]. However, there is limited knowledge in research on how to determine such stations that can be improved to attract businesses and generate investments to further support HSR construction and maintenance.

In states like Texas, alternative financing schemes for funding infrastructure projects have been probed, and these are popularly known as the Transportation Reinvestment Zone (TRZ) – which is an alternative means of generating revenue for public agencies and somewhat resembles the concept of value capture [8]. TRZ has been hailed as an innovative method that can be deployed by local public agencies to pay off capital loans.

Economic growth has been studied for improvements resulting from rail station developments and often from the perspective of transit-oriented development [9 - 11]. Various approaches that have been adopted also consider accessibility as a potential economic indicator to support transportation-related improvements and construction in a region [3, 12].

Similarly, the economic aspect of HSR introduction has also been justified by associating the resulting transport development with the new HSR in a region with surrounding property values in the vicinity of the HSR. For example, it is understood that HSR can impact property and land values in a region variably [13]. In an earlier study, both Cervero and Duncan [14] realized benefits and premiums for large apartments around rail stations. These benefits to apartments were for those that were contained within a threshold distance of a quarter mile to the stations. However, when it came to specifically housing prices, noticeable impacts were noted for those within a mile distance from the rail stations of the Shanghai South Railway Station in China [15].

Global examples from other rail transit studies of the Netherlands, South Korea, and Germany show similar findings of a positive correlation between residential housing prices and rail transit [16 - 18]. A very early study by Diaz [19] showed that investments that result in a new transit increase property

value because of increase in accessibility to locations.

In accessibility studies, Kilpatrick *et al* [20] examined two kinds of scenarios for transit corridors. In one scenario, both the pros and cons of accessibility were accounted for, and the second scenario was studied without considering the access benefits. The findings showed that only being near to a transit corridor, presumably with high accessibility, was not sufficient to bring about positive impacts on the property values. On the contrary, being close to the corridor yet without a direct access can cause housing values to decrease. With a focus on the Beijing-Shanghai HSR line, Chen and Haynes [21] showed a negligible impact on the housing values for the large cities, while there was a significant increase in the values for the medium and small cities. Findings like this were noted in the study by Edwards [22] for the towns in Australia with the proposed HSR. Results showed agglomeration benefits to cities with HSR stations.

A study on the variety of other factors that are considered important in facilitating the HSR's impact include circumstances and context of city development plans, regional accessibility, *etc.* These factors have been noted for the HSR of Taiwan and those in the Chinese cities of Shanghai and Minhang [23, 24]. Keeping these aspects of the HSR in mind, the HSR clearly has to be affordable by virtue of being accessible [25].

2. METHODOLOGY

Multiobjective optimization is a standard procedure to identify optimal solutions to problems. This research presents a multiobjective optimization problem and a solution in identifying one or more HSR stations that can be further developed to potentially offset costs involved in HSR project costs. The optimization problem analyzes the possibility of property value increase, changes in accessibility and workforce-centric access measure that can motivate and attract businesses surrounding the HSR stations. To the best of our knowledge, this is the first-ever study of HSR that evaluates each station of a HSR line by looking at various aspects of HSR justification that involves the workforce across age, earnings, industry distributions, race, ethnicity, educational attainment, and sex.

The basis of developing the multiobjective optimization problem is that while a station might have the largest revenue potential increase from the surrounding property values, the same station could experience the lowest accessibility increase or the highest workforce-centric access measure (WAM) value. To understand how these three objectives interplay, the multiobjective optimization problem can be successfully deployed [26].

2.1. Revenue Potential Formulation

The revenue, RP_i , generated can be written as,

$$\max RP_i = \sum_k a_{i,k}^D, \text{ and } k \in P \quad (1)$$

where,

$a_{i,k}^D$ = property tax collected from a parcel k that is within a

(threshold) distance D from station i and P is the total number of parcels.

2.2. Percentage change in accessibility

The formula for accessibility adopted in this research is based on the potential accessibility derived by Chandra and Mazin [27]. The potential accessibility (PA_i) of an HSR station i is expressed as:

Therefore, the second objective function of maximizing the potential accessibility of station i , $\max(\Delta PA_i)$, is expressed as:

$$\max(\Delta PA_i) = \left\{ \frac{\sum_j \frac{b_j^{\text{after}}}{(t_{i,j}^{\text{after, HSR}})^a} - \sum_j \frac{b_j^{\text{before}}}{(t_{i,j}^{\text{before, highway}})^a}}{\sum_j \frac{b_j^{\text{before}}}{(t_{i,j}^{\text{before, highway}})^a}} \right\} \times 100, \quad i \neq j \text{ and } i, j \in N \quad (2)$$

where,

b_j^{after} = employment surrounding an HSR station j 'after' HSR is operational

b_j^{before} = employment surrounding an HSR station j 'before' HSR is operational

$t_{i,j}^{\text{after, HSR}}$ = travel time from station i to station j with HSR operational

$t_{i,j}^{\text{before, highway}}$ = travel time from a city with station i to a city with station j using a highway

2.3. Workforce-centric Access Measure

The Workforce-centric Access Measure (WAM) provides an estimate of the HSR's ability to address mobility needs across the working class near its stations. Various variables can be WAM-related and could include age, earnings, industry distributions, race, ethnicity, educational attainment, and sex. The WAM_i for a station i can be formalized as,

$$WAM_i = \sum_{j=1}^n H_{i,j}^d \quad (3)$$

where,

$H_{i,j}^d$ = total workforce belonging to a class or category type j working within a threshold distance d around a station i . Typically, this threshold distance can be assumed to be walking distance around the HSR station i . The various categories that can be considered in the WAM could include age, earnings, industry distributions, race, ethnicity, educational attainment, and sex. These variables are considered important for US economic studies – particularly for businesses and industries [28].

2.4. Multi-objective Optimization Design

There are several established methods for determining a non-dominating solution for multi-objective optimization problem. The steps leading to each of the methods differ, thereby leading to differences in the nondominated solution. Wang and Rangai [29] develop a summary of the popular methods, and we select the Technique for Order of Preference by Similarity to Ideal Solution (TOPSIS) for our purpose [30].

The steps involved in the TOPSIS algorithm are as follows:

Step 1: A normalized objective matrix with m rows (each row standing for a value of an objective function) and n columns (each column stands for an objective function) is constructed. The matrix consists of objective function values.

$$F_{ij} = \frac{f_{ij}}{\sqrt{\sum_{i=1}^m f_{ij}^2}} \quad (4)$$

where,

f_{ij} stands for the i^{th} value of the objective function j ,

F_{ij} is the normalized objective function

m is the number of objective function values, and n is the number of objective functions

Step 2: The normalized function F_{ij} is weighted using w_j and defined using v_{ij} as, $v_{ij} = F_{ij} w_j$

Step 3: Define ideal solutions (positive, A^+ and negative, A^-) as follows:

$$A^+ = \left\{ \left(\max_i (v_{ij}) \mid j \in J \right), \left(\min_i (v_{ij}) \mid j \in J' \right) \mid i \in 1, 2, \dots, m \right\} \\ = \{ v_1^+, v_2^+, v_3^+, \dots, v_j^+, \dots, v_n^+ \}$$

And

$$A^- = \left\{ \left(\min_i (v_{ij}) \mid j \in J \right), \left(\max_i (v_{ij}) \mid j \in J' \right) \mid i \in 1, 2, \dots, m \right\} \\ = \{ v_1^-, v_2^-, v_3^-, \dots, v_j^-, \dots, v_n^- \}$$

With J defined as a set of objectives that need to be maximized, and J' as objectives that need to be minimized for $\{1, 2, 3, \dots, n\}$.

Step 4: Compute the distance (Euclidean) between each solution v_{ij} and the ideal solution (both for the positive and negative) as follows:

$$S_{i+} = \sqrt{\sum_{j=1}^n (v_{ij} - v_j^+)^2}, \quad i = 1, 2, 3, \dots, m$$

$$S_{i-} = \sqrt{\sum_{j=1}^n (v_{ij} - v_j^-)^2}, \quad i = 1, 2, 3, \dots, m$$

Step 5: Calculate the closeness C_i as:

$$C_i = \frac{S_{i-}}{S_{i-} + S_{i+}}$$

The optimal solution is determined by the largest C_i calculated above.

3. APPLICATION EXAMPLE

While some uncertainties prevail in funding the California HSR from the federal agencies [31], the situation can be considered ideal for demonstration of the methodology proposed in this paper – simply because there is a need for the HSR authorities to justify the purpose of the overall project and to procure alternative means of funding. Any lag in project

funding for California's HSR would continue to lead to the increased price of material, labor costs/availability and fast drying of funds. Thus, while innovative means of revenue generation should be found, there is also a societal need to serve as much workforce as possible for the State's economic growth by access to the HSR. The three proposed objectives in this research can help identify key stations that can trigger economic activity surrounding them that may include increase in property values, employment opportunities and connectivity.

The data for the county median property tax has been used to evaluate the revenue potential (data source: Tax-rates.org [32]). In addition, only those properties from parcels are included that are within a quarter-mile distance of a station.

Adopting this threshold distance has been recommended by Cervero and Duncan [14]. The spatial data for the parcels were obtained from the 2014 California Parcels Dataset from Los Angeles County GIS webpage [33]. The map in Fig. (1) shows the spatial location of the stations for the California HSR line, along with the spatial distribution of the county median property taxes for properties surrounding each station. The map in Fig. (2) shows the total employment distribution surrounding the stations for a quarter-mile distance. The data were originally available from the Longitudinal Employer-Household Dynamics [28] and extrapolated for 2020 to the anticipated HSR completion by 2022. Both the maps in Figs. (1 and 2) have been adopted from Chandra *et al* [26].

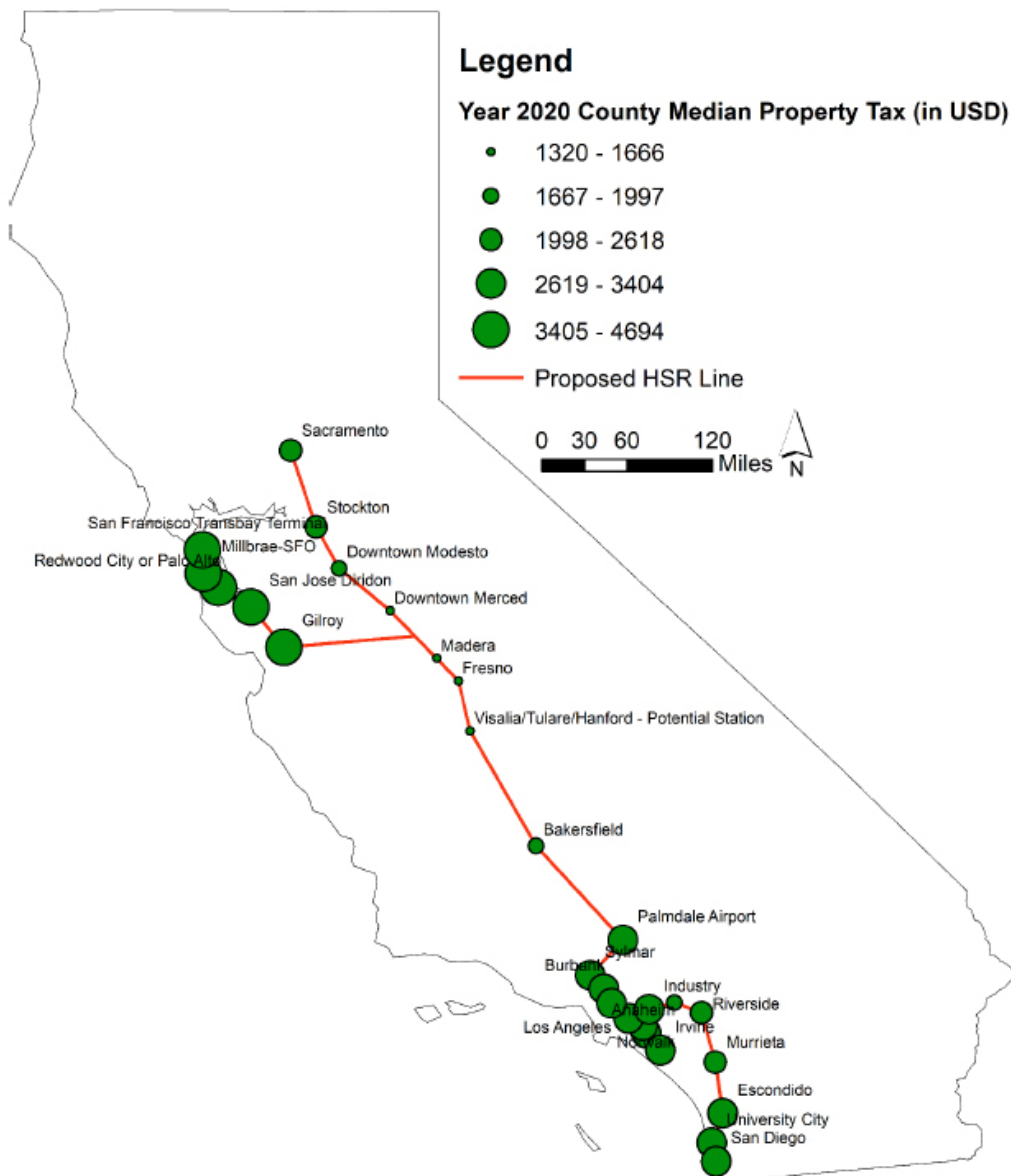


Fig. (1). Spatial distribution of the median county property tax year 2020 for each station.

The data needed for WAM calculations are also obtained from the LEHD and extrapolated for 2020. The variables and their definitions used in the calculation are summarized in Table 1. The variables are widely used for economic measures that underlie the significance of the workforce for California's businesses and industries and are presented as the North American Industry Classification System (NAICS) for the industry type.

For the calculation of accessibility, the impedance used has been derived from the travel time skim matrix that was constructed for the mutual distance between stations and the proposed speed of 200 miles per hour for the HSR [34]. The spatial maps for the HSR line in Figs. (1 and 2) show a total of 28 proposed stations in cities that were obtained from the California High-Speed Rail Authority [35].

Table 1. Workforce access measure classifications and variables of interest.

Workforce Classification by	Variable
Age	Number of jobs of workers age 29 or younger
	Number of jobs for workers age 30 to 54
	Number of jobs for workers age 55 or older
Income	Number of jobs with earnings \$1250/month or less
	Number of jobs with earnings \$1251/month to \$3333/month
	Number of jobs with earnings greater than \$3333/month
Industry-type	Number of jobs in NAICS sector 11 (Agriculture, Forestry, Fishing and Hunting)
	Number of jobs in NAICS sector 21 (Mining, Quarrying, and Oil and Gas Extraction)
	Number of jobs in NAICS sector 22 (Utilities)
	Number of jobs in NAICS sector 23 (Construction)
	Number of jobs in NAICS sector 31-33 (Manufacturing)
	Number of jobs in NAICS sector 42 (Wholesale Trade)
	Number of jobs in NAICS sector 44-45 (Retail Trade)
	Number of jobs in NAICS sector 48-49 (Transportation and Warehousing)
	Number of jobs in NAICS sector 51 (Information)
	Number of jobs in NAICS sector 52 (Finance and Insurance)
	Number of jobs in NAICS sector 53 (Real Estate and Rental and Leasing)
	Number of jobs in NAICS sector 54 (Professional, Scientific, and Technical Services)
	Number of jobs in NAICS sector 55 (Management of Companies and Enterprises)
	Number of jobs in NAICS sector 56 (Administrative and Support and Waste Management and Remediation Services)
	Number of jobs in NAICS sector 61 (Educational Services)
	Number of jobs in NAICS sector 62 (Health Care and Social Assistance)
	Number of jobs in NAICS sector 71 (Arts, Entertainment, and Recreation)
	Number of jobs in NAICS sector 72 (Accommodation and Food Services)
	Number of jobs in NAICS sector 81 (Other Services [except Public Administration])
	Number of jobs in NAICS sector 92 (Public Administration)
Race	Number of jobs of workers, Race: White Alone
	Number of jobs of workers, Race: Black or African American Alone
	Number of jobs of workers, Race: American Indian or Alaska Native Alone
	Number of jobs of workers, Race: Asian Alone
	Number of jobs of workers, Race: Native Hawaiian or Other Pacific Islander Alone
Ethnicity	Number of jobs of workers, Race: Two or More Race Groups
	Number of jobs of workers, Ethnicity: Not Hispanic or Latino
Educational Attainment	Number of jobs of workers, Ethnicity: Hispanic or Latino
	Number of jobs of workers, Educational Attainment: Less than high school
	Number of jobs of workers, Educational Attainment: High school or equivalent, no college
	Number of jobs of workers, Educational Attainment: Some college or Associate degree
Sex	Number of jobs of workers, Educational Attainment: Bachelor's degree or advanced degree
	Number of jobs of workers, Sex: Male
	Number of jobs of workers, Sex: Female

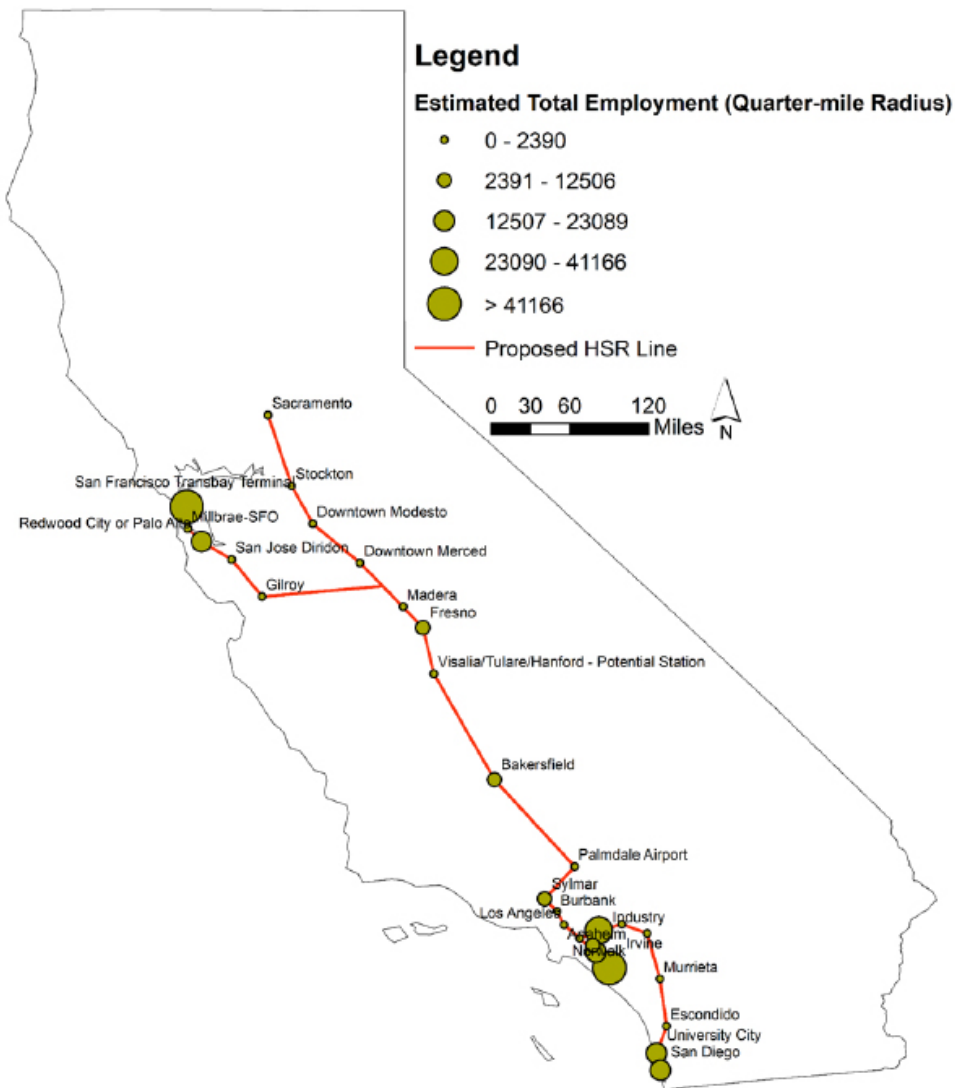


Fig. (2). Spatial distribution of total employment for the year 2020 for each station.

4. RESULTS AND DISCUSSION

The TOPSIS algorithm presented earlier was applied to determine the key California HSR stations for the three objectives. For the analysis that was carried out with the objective of maximizing revenue potential, the San Diego and San Francisco Transbay Terminal stations should be considered important for focus and development by the policymakers and planners. These two stations have the largest potential for generating revenue from the property tax collected from their surrounding parcels. The two HSR stations of Millbrae SFO and San Jose Diridon and Millbrae SFO are the next two stations that could also yield a high revenue if developed and improved.

With the objective of maximizing accessibility, the HSR stations of Millbrae-SFO, Fullerton, Norwalk, and Anaheim score high in percentage change in potential accessibility and thus, are the key HSR stations that need to be improved or

developed. These four stations have a high employment concentration surrounding them.

With the WAM, the stations of Sacramento, San Jose Diridon, San Francisco Transbay Terminal, San Diego, and Redwood City/Palo Alto were found as key stations for development and improvement across age, income, industry, race, ethnicity, educational attainment, and sex classifications, respectively.

Considering all the three objectives together, weighted equally, the three key stations of San Francisco Transbay Terminal, University City and Downtown Merced are recommended for development and improvement to attract economic growth with HSR in California. Therefore, these three stations are found to be optimal considering revenue generation potential, maximizing accessibility, and increasing workforce-centric access measure. The findings have been presented in Table 2.

Table 2. Workforce-centric access measure classification and key stations.

Workforce Classification	Key Station for Improvement
Age	Sacramento
Income	San Jose Diridon
Industry	San Francisco Transbay Terminal
Race	San Diego
Ethnicity	Redwood City/Palo Alto
Educational Attainment	Redwood City/Palo Alto
Sex	Redwood City/Palo Alto

CONCLUSION

The HSR is one of the fast modes for transportation mobility. HSR is known to connect regions that are spatially separated, yet with all of these advantages, construction, operation and maintenance of HSR require sustainable funding sources. Funding is, however, a challenge as public agencies, who are usually the primary stakeholders responsible for HSR projects, seek public support in the form of taxes. There is a need to better understand avenues and leverage them to justify the purpose of HSR construction in providing an important mobility option. This research explores three such objectives in the form of revenue generation, accessibility maximization and workforce-centric access measure to support HSR projects. This paper specifically explores the option of developing and improving key HSR stations that are promising in satisfying the three objectives. The key stations would show indications of high economic activity, which can be leveraged to fund or offset costs incurred in HSR construction, operation and maintenance. With the multiobjective optimization methodology undertaken in this research, an established algorithm called the TOPSIS is applied to identify the key stations. In this current research, multiobjective optimization helps identify critical stations for further development and improvement. This is undoubtedly a concern that investment in underserved communities could be less. However, our goal in this paper was mainly to focus on actions that could generate much-needed revenue for the HSR authorities.

The findings of this research suggest that the with the objective of maximizing just the revenue potential, the San Diego and San Francisco Transbay Terminal stations should be considered important for focus and development. When maximizing accessibility for the second objective, the HSR stations of Millbrae-SFO, Fullerton, Norwalk, and Anaheim score high in percentage change in potential accessibility and are the key HSR stations that need to be improved or developed. With a focus on a workforce-centric access measure (WAM), the stations of Sacramento, San Jose Diridon, San Francisco Transbay Terminal, San Diego, and Redwood City/Palo Alto were found as key stations for development and improvement across age, income, industry, race, ethnicity, educational attainment, and sex classifications.

Considering all the three objectives together, and weighing each equally, the stations of San Francisco Transbay Terminal, University City and Downtown Merced are recommended for development and improvement to attract economic growth with HSR in California.

The findings in this research suggest that developing and improving stations with various objectives could serve as economic incentives for businesses to thrive and grow near select California HSR stations. The increase in economic activities surrounding these stations could mean alternative sources of funds that are sustainable through property taxes and businesses, which can be utilized to fund and support HSR projects.

It must be noted that our current research is not focused on addressing the inequality that the CA HSR line might bring, and this is our research limitation but certainly forms the goal of our future research. We also believe there could be other methods of revenue generation, such as bonds, other than taxation [8]. However, taxation is a primary source of funding infrastructure projects when property values near the HSR station increase and thus, appear justifiable in investment near high-yield property appreciations near specific HSR stations from an institutional point-of-view. Thus, the methodology proposed in this paper can serve as a very valuable reference for financing HSR projects for transport connectivity by public and/or private agencies elsewhere in other regions of the United States.

LIST OF ABBREVIATIONS

WAM	=	Workforcecentric Access Measure
HSR	=	High-Speed Rail

CONSENT FOR PUBLICATION

Not applicable.

AVAILABILITY OF DATA AND MATERIALS

Not applicable.

FUNDING

This research was partially funded by the SB-1 TRANSPORT.

CONFLICT OF INTEREST

Shailesh Chandra is Editorial Advisory Board of The Open Transportation Journal.

ACKNOWLEDGEMENTS

Declared none.

REFERENCES

- [1] Y. Cheng, B.P.Y. Loo, and R. Vickerman, "High-speed rail networks, economic integration and regional specialisation in China and Europe", *Travel Behav. Soc.*, vol. 2, no. 1, pp. 1-14, 2015. [http://dx.doi.org/10.1016/j.tbs.2014.07.002]
- [2] C. Geffen, *The potential for high-speed rail in the US.*, 2018. [http://dx.doi.org/10.4324/9781351174824-29]
- [3] S. Chandra, and S. Vadali, "Evaluating accessibility impacts of the proposed America 2050 high-speed rail corridor for the Appalachian Region", *J. Transp. Geogr.*, vol. 37, pp. 28-46, 2014. [http://dx.doi.org/10.1016/j.jtrangeo.2014.04.002]
- [4] J. Cohen, and C. Kanga, "Financing high speed rail in the United States and France: The evolution of public-private partnerships", *Res. Transp. Bus. Manag.*, vol. 6, pp. 62-70, 2013. [http://dx.doi.org/10.1016/j.rtbm.2012.11.013]
- [5] Government Technology, *California High-Speed Rail Faces Mounting Financial Woes*, 2020. https://www.govtech.com/fs/transportation/California-High-Speed-Rail-Faces-Mounting-Financial-Woes.html
- [6] M. Diao, "Does growth follow the rail? The potential impact of high-speed rail on the economic geography of China", *Transp. Res. Part A Policy Pract.*, vol. 113, pp. 279-290, 2018. [http://dx.doi.org/10.1016/j.tra.2018.04.024]
- [7] X.J. Cao, and D. Porter-Nelson, "Real estate development in anticipation of the Green Line light rail transit in St. Paul", *Transp. Policy*, vol. 51, pp. 24-32, 2016. [http://dx.doi.org/10.1016/j.tranpol.2016.01.007]
- [8] R.M. Aldrete, C.J. Kruse, D. Salgado, S.R. Vadali, A. Mudgal, J.C. Villa, L.E. Cornejo, and D.S. Bae, "Leveraging the value of land and landside access to fund port infrastructure in Texas", *Transp. Res. Rec.*, vol. 2672, no. 11, pp. 41-52, 2018. [http://dx.doi.org/10.1177/0361198118794066]
- [9] M. Zhang, and B.T.H. Yen, "The impact of Bus Rapid Transit (BRT) on land and property values: A meta-analysis", *Land Use Policy*, vol. 96, 2020.104684 [http://dx.doi.org/10.1016/j.landusepol.2020.104684]
- [10] J. Murakami, and R. Cervero, California high-speed rail and economic development: Station-area market profiles and public policy responses. *In symposium.*, University of California, Berkeley Faculty Club, 2010.
- [11] D. Belzer, S. Srivastava, M. Austin, T. Bump, and J. Wood, *Transit and regional economic development.*, 2011.
- [12] J. Gutiérrez, "Location, economic potential and daily accessibility: An analysis of the accessibility impact of the high-speed line Madrid-Barcelona-French border", *J. Transp. Geogr.*, vol. 9, no. 4, pp. 229-242, 2001. [http://dx.doi.org/10.1016/S0966-6923(01)00017-5]
- [13] D. Hensher, Z. Li, and C. Mulley, "The impact of high speed rail on land and property values: A review of market monitoring evidence from eight countries", *Road & Transport Research: A Journal of Australian and New Zealand Research and Practice*, vol. 4, pp. 3-14, 2012.
- [14] R. Cervero, and M. Duncan, "Benefits of proximity to rail on housing markets: Experiences in Santa Clara County", *J. Public Transp.*, vol. 5, no. 1, pp. 1-18, 2002. [http://dx.doi.org/10.5038/2375-0901.5.1.1]
- [15] Y.S. Shi, and H.N. Guo, "Temporal-spatial impacts of the shanghai south railway station on housing prices", *Acta Geogr. Sin.*, vol. 64, no. 2, pp. 167-176, 2009.
- [16] C.H.C. Bae, M.J. Jun, and H. Park, "The impact of Seoul's subway Line 5 on residential property values", *Transp. Policy*, vol. 10, no. 2, pp. 85-94, 2003. [http://dx.doi.org/10.1016/S0967-070X(02)00048-3]
- [17] G. Debrezion, E. Pels, and P. Rietveld, "The impact of rail transport on real estate prices: an empirical analysis of the Dutch housing market", *Urban Stud.*, vol. 48, no. 5, pp. 997-1015, 2011. [http://dx.doi.org/10.1177/0042098010371395]
- [18] S. Brandt, and W. Maennig, "The impact of rail access on condominium prices in Hamburg", *Transportation*, vol. 39, no. 5, pp. 997-1017, 2012. [http://dx.doi.org/10.1007/s11116-011-9379-0]
- [19] R.B. Diaz, and V.A. Mclean, "Impacts of rail transit on property values", *American Public Transit Association Rapid Transit Conference Proceedings*, pp. 1-8, 1999.
- [20] J. Kilpatrick, R. Throupe, J. Carruthers, and A. Krause, "The impact of transit corridors on residential property values", *J. Real Estate Res.*, vol. 29, no. 3, pp. 303-320, 2007. [http://dx.doi.org/10.1080/10835547.2007.12091201]
- [21] Z. Chen, and K.E. Haynes, "Impact of high speed rail on housing values: an observation from the Beijing-Shanghai line", *J. Transp. Geogr.*, vol. 43, pp. 91-100, 2015. [http://dx.doi.org/10.1016/j.jtrangeo.2015.01.012]
- [22] N. Edwards, *High speed rail: benefits that add up: A report for the Australian Greens*, 2012.
- [23] A. Loukaitou-Sideris, D. Cuff, T. Higgins, and O. Linovski, "Impact of high speed rail stations on local development: A Delphi survey", *Built Environ.*, vol. 38, no. 1, pp. 51-70, 2012. [http://dx.doi.org/10.2148/benv.38.1.51]
- [24] P. Rungskunroch, Y. Yang, and S. Kaewunruen, "Does high-speed rail influence urban dynamics and land pricing?", *Sustainability (Basel)*, vol. 12, no. 7, p. 3012, 2020. [http://dx.doi.org/10.3390/su12073012]
- [25] L. Azzouz, "Social Exclusion and High-Speed Railways: Evidence from China", *The Open Transportation Journal*, vol. 1, 2021.
- [26] S. Chandra, and M. Shailesh, *Rahmani, T. Thai, V. Mishra, and J. Camacho.*, Evaluating Financing Mechanisms and Economic Benefits to Fund Grade Separation Projects, 2021.
- [27] S. Chandra, and R. Mazin, "Quantifying rail transit investments with appropriate measures and metrics", *World Rev. Intermodal Transp. Res.*, vol. 9, no. 4, pp. 313-333, 2020. [http://dx.doi.org/10.1504/WRITR.2020.111093]
- [28] Longitudinal Employer-Household Dynamics (LEHD), accessed on August 2. https://onthemap.ces.census.gov/
- [29] Z. Wang, and G.P. Rangaiah, "Application and analysis of methods for selecting an optimal solution from the Pareto-optimal front obtained by multiobjective optimization", *Ind. Eng. Chem. Res.*, vol. 56, no. 2, pp. 560-574, 2017. [http://dx.doi.org/10.1021/acs.iecr.6b03453]
- [30] C.-L. Hwang, and K. Yoon, *Methods for multiple attribute decision making. Multiple attribute decision making.*, Springer: Berlin, Heidelberg, 1981, pp. 58-191. [http://dx.doi.org/10.1007/978-3-642-48318-9_3]
- [31] Federal Railroad Administration (FRA), *Statement of Federal Railroad Administration on Termination of FY '10 Grant Agreement with California High-Speed Rail Authority*, 2019. https://cms7.fra.dot.gov/newsroom/statement-federal-railroad-administration-termination-fy-%E2%80%9810-grant-agreement-california
- [32] Tax-rates.org, accessed on November 22. http://www.tax-rates.org/california/property-tax
- [33] LA County GIS, *California Parcels Dataset*, accessed on April 2, 2014. http://egis3.lacounty.gov/dataportal/2015/09/11/california-statewide-parcel-boundaries/
- [34] California High-Speed Rail Authority, accessed on October 28. https://hsr.ca.gov/high_speed_rail/#:~:text=The%20system%20will%20run%20from,with%20up%20to%2024%20stations
- [35] California High-Speed Rail Authority, *State of California*, accessed on September 22. https://hsr.ca.gov/high_speed_rail/

Exhibit SR-8

Optimizing Multimodal Transportation Access to Support Commuting

3-2022

Optimizing Multimodal Transportation Access to Support Commuting Among Low-Income Transit Riders with Social Distancing

Shailesh Chandra
California State University, Long Beach

Vivek Mishra
California State University, Long Beach

Follow this and additional works at: https://scholarworks.sjsu.edu/mti_publications



Part of the [Infrastructure Commons](#), [Transportation Commons](#), and the [Urban Studies Commons](#)

Recommended Citation

Shailesh Chandra and Vivek Mishra. "Optimizing Multimodal Transportation Access to Support
Commuting Among Low-Income Transit Riders with Social Distancing" *Mineta Transportation Institute
Publications* (2022). <https://doi.org/10.31979/mti.2022.2140>

This Report is brought to you for free and open access by SJSU ScholarWorks. It has been accepted for inclusion in Mineta Transportation Institute Publications by an authorized administrator of SJSU ScholarWorks. For more information, please contact scholarworks@sjsu.edu.

Optimizing Multimodal Transportation Access to Support Commuting Among Low-Income Transit Riders with Social Distancing

Shailesh Chandra, PhD

Vivek Mishra



Mineta Transportation Institute

Founded in 1991, the Mineta Transportation Institute (MTI), an organized research and training unit in partnership with the Lucas College and Graduate School of Business at San José State University (SJSU), increases mobility for all by improving the safety, efficiency, accessibility, and convenience of our nation's transportation system. Through research, education, workforce development, and technology transfer, we help create a connected world. MTI leads the [Mineta Consortium for Transportation Mobility \(MCTM\)](#) funded by the U.S. Department of Transportation and the [California State University Transportation Consortium \(CSUTC\)](#) funded by the State of California through Senate Bill 1. MTI focuses on three primary responsibilities:

Research

MTI conducts multi-disciplinary research focused on surface transportation that contributes to effective decision making. Research areas include: active transportation; planning and policy; security and counterterrorism; sustainable transportation and land use; transit and passenger rail; transportation engineering; transportation finance; transportation technology; and workforce and labor. MTI research publications undergo expert peer review to ensure the quality of the research.

Education and Workforce

To ensure the efficient movement of people and products, we must prepare a new cohort of transportation professionals who are ready to lead a more diverse, inclusive, and equitable transportation industry. To help achieve this, MTI sponsors a suite of workforce development and education opportunities. The Institute supports educational programs offered by the

Lucas Graduate School of Business: a Master of Science in Transportation Management, plus graduate certificates that include High-Speed and Intercity Rail Management and Transportation Security Management. These flexible programs offer live online classes so that working transportation professionals can pursue an advanced degree regardless of their location.

Information and Technology Transfer

MTI utilizes a diverse array of dissemination methods and media to ensure research results reach those responsible for managing change. These methods include publication, seminars, workshops, websites, social media, webinars, and other technology transfer mechanisms. Additionally, MTI promotes the availability of completed research to professional organizations and works to integrate the research findings into the graduate education program. MTI's extensive collection of transportation-related publications is integrated into San José State University's world-class Martin Luther King, Jr. Library.

Disclaimer

The contents of this report reflect the views of the authors, who are responsible for the facts and accuracy of the information presented herein. This document is disseminated in the interest of information exchange. MTI's research is funded, partially or entirely, by grants from the California Department of Transportation, the California State University Office of the Chancellor, the U.S. Department of Homeland Security, and the U.S. Department of Transportation, who assume no liability for the contents or use thereof. This report does not constitute a standard specification, design standard, or regulation.

Report 22-10

Optimizing Multimodal Transportation Access to Support Commuting Among Low-Income Transit Riders with Social Distancing

Shailesh Chandra, PhD

Vivek Mishra

March 2022

A publication of the
Mineta Transportation Institute
Created by Congress in 1991

College of Business
San José State University
San José, CA 95192-0219

TECHNICAL REPORT DOCUMENTATION PAGE

1. Report No. 22-11	2. Government Accession No.	3. Recipient's Catalog No.	
4. Title and Subtitle Optimizing Multimodal Transportation Access to Support Commuting Among Low-Income Transit Riders with Social Distancing		5. Report Date March 2022	
		6. Performing Organization Code	
7. Authors Shailesh Chandra Vivek Mishra		8. Performing Organization Report CA-MTI-2140	
9. Performing Organization Name and Address Mineta Transportation Institute College of Business San José State University San José, CA 95192-0219		10. Work Unit No.	
		11. Contract or Grant No. ZSB12017-SJAUX	
12. Sponsoring Agency Name and Address State of California SB1 2017/2018 Trustees of the California State University Sponsored Programs Administration 401 Golden Shore, 5 th Floor Long Beach, CA 90802		13. Type of Report and Period Covered	
		14. Sponsoring Agency Code	
15. Supplemental Notes			
16. Abstract During the COVID-19 pandemic, LA Metro has encouraged social distancing among passengers—especially at stations of high-demand routes—and has increased fixed-route transit (FRT) services. However, potential impacts of social distancing on the performance of FRT services remain mostly unknown. This research evaluates the accessibility of FRT buses with social distancing using the ridership data collected on four FRT routes: 105, 108, 111, and 115 of the LA Metro's A Line stations located in low-income neighborhoods. This research shows that social distancing of six feet can impact FRT's accessibility to destination stations, and maximum accessibility is achieved only for a certain number of stops served—which is less than the current number of stops served. The FRT routes 105, 108, 111 and 115 have maximum accessibility with social distancing for the number of stops served equal to 65, 52, 52 and 50, respectively. The methodology used in this research can help decision-makers understand how FRT bus frequencies are impacted by social distancing measures, and the results can guide the transit authorities developing FRT service among low-income commuters during and after the pandemic.			
17. Key Words Multimodal transportation, Low-income commuters, Fixed-route transit, Social distancing, Accessibility		18. Distribution Statement No restrictions. This document is available to the public through The National Technical Information Service, Springfield, VA 22161.	
19. Security Classif. (of this report) Unclassified	20. Security Classif. (of this page) Unclassified	21. No. of Pages 33	22. Price

Copyright © 2022
by **Mineta Transportation Institute**

All rights reserved.

DOI: 10.31979/mti.2022.2140

Mineta Transportation Institute
College of Business
San José State University
San José, CA 95192-0219

Tel: (408) 924-7560
Fax: (408) 924-7565
Email: mineta-institute@sjsu.edu

transweb.sjsu.edu/research/2140

ACKNOWLEDGMENTS

The research team would like to thank MTI for the funding received to conduct this research.

CONTENTS

Acknowledgments	vii
List of Figures	ix
List of Tables.....	x
Executive Summary	1
1. Introduction and Background.....	3
2. Research Contribution.....	7
3. Methodology	8
3.1 Derivation of Travel Time	9
4. Application of the Method	14
5. Results and Discussion	16
6. Summary and Conclusions.....	19
Bibliography	20
About the Authors.....	23

LIST OF FIGURES

Figure 1. Spatial Distribution of Home Locations of Low-Income Workers around LA Metro’s A Line (Blue)	5
Figure 2. Illustration of the Interaction between FRT Accessibility and Passenger Behavior Models.....	6
Figure 3. Fixed Route Transit (FRT) Service Operation.....	9
Figure 4. Fixed Route Transit (FRT) Accessibility Variation with Parameters.....	13
Figure 5. Spatial Location of the Four FRT Routes, the A Line Transit and Low-Income Home Locations	15
Figure 6. Accessibility Variation with Number of Stops for FRT 105	16
Figure 7. Accessibility Variation with Number of Stops for FRT 108.....	17
Figure 8. Accessibility Variation with Number of Stops for FRT 111.....	17
Figure 9. Accessibility Variation with Number of Stops for FRT 115	18

LIST OF TABLES

Table 1. Accessibility Variation with N (i.e., N^*) and Decay Parameter (β).....	12
Table 2. Compilation of Data Collected for FRT	15

Executive Summary

With the onset of the COVID-19 pandemic, transit agencies have followed best practices in promoting social distancing amongst their passengers. For example, Bay Area Rapid Transit (BART) in California provides weekly train car loading for its passengers, which gives a snapshot of the number of riders present in each train car. With this information, passengers can choose in advance which train car to board to avoid and to assess the possibility of maintaining a physical distance of six feet from other riders on-board train cars. Other major transit agencies in California have taken similar steps. For example, the Los Angeles County Metropolitan Transportation Authority (LA Metro) launched its official smartphone app called Transit to predict the crowding levels on Metro buses. LA Metro has further increased its transit service frequencies to minimize crowding at train stations, especially on some select bus routes, designated as fixed-route transit (FRT), serving train stations. The FRT buses serve as feeder transit mode with a fixed schedule of passenger pick-up at stops, and they provide access to LA Metro's train stations of the A Line, B Line, C Line, D Line, E Line, and L Line. Amongst these rail lines, the LA Metro's A Line serves one of California's high-density populations with low-income households from essential services such as jobs related to health care, public works etc. For these workers, the A Line and its associated FRT bus services are vital for commuting during all periods—whether before, during, or after the pandemic.

The FRT bus ridership of LA Metro had been experiencing a steady decline in ridership during the pre-COVID-19 period in early 2020. However, LA Metro's FRT buses, popular among low-income riders, experienced as much as over 50% ridership decline with the pandemic's onset (compared to pre-pandemic years), and ridership has been steadily rising since then, albeit at a slower pace. Transit authorities increased FRT services in the pandemic periods to ensure minimal crowding at the bus stops and inside the buses. With COVID-19 seriously impacting the livelihood of low-income households, the affordability of using private vehicles for commuting has been reduced for low-income residents. Thus, dependency on the A Line has only further increased during these pandemic periods and could remain the same or worsen post-pandemic. Dependency on transit also raises another major challenge of crowding on several public transit system components (buses, trains, stops, stations, etc.) as travel activity picks up with time. Undoubtedly, social distancing measures could see an increased number of violations as the pandemic persists. Crowding and non-compliant passenger behaviors will only add to the woes of low-income riders who would have to continue to endure unsafe travel situations. However, better planning of FRT services as a feeder service providing access to train stations can help mitigate safety concerns for transit authorities and low-income riders.

Transit agencies worldwide have taken measures to limit visits at rush-hour stations, even closing stations entirely to compel riders to walk more or take alternative routes. However, some transit operators place passenger limits on FRT buses. Once a bus is deemed full, the driver contacts a dispatcher to provide another vehicle to receive the remaining passengers. It This is an effort by

transit operators to increase the accessibility provided to passengers to reach specific transfer or terminal stations. These measures add up to improved accessibility for FRT by the passengers and ultimately finding popularity among potential riders. However, a challenge remains: namely, integrating such accessibility measures with passenger behavior in view of the crowding potential at such transfer stations, which often involve violations of social distancing.

A unique contribution of this research is the integration of social distancing into the accessibility formulation—which, to the best of our knowledge, is being executed here for the first time in transit accessibility research. The accessibility is modeled and evaluated for the FRT routes 105, 108, 111, and 115 of the LA Metro’s A Line, popular among low-income riders of Los Angeles County.

This research shows that social distancing impacts the accessibility of FRT routes 105, 108, 111, and 115 to the LA Metro A Line stations, which are quite popular among low-income commuters of Los Angeles County. The findings indicate that the maximum FRT accessibility is achieved only for a certain number of stops served. The FRT routes 105, 108, 111, and 115 have maximum accessibility for the case with social distancing for the number of stops served equal to 65, 52, 52, and 50, respectively. Therefore, if the goal of the transit agencies is to provide first-/last-mile FRT accessibility to a major transit line, the model developed in this research could help determine the optimal number of stops that the FRT should serve to maximize accessibility - which could often mean service to an increased number of stops or truncating currently served stops from FRT services. In the former case, a further increase in the FRT service frequencies would be beneficial to keep up with a maximum accessibility.

1. Introduction and Background

The Federal Transit Administration (FTA) has allocated \$25 billion through the Coronavirus Aid, Relief, and Economic Security (CARES) Act to support capital, operating, and other public transport expenses for prevention, preparation, and response related to the COVID-19 pandemic (FTA Coronavirus Aid, 2020). FTA's safety advisory recommends that transit agencies follow procedures and practices of social distancing consistent with the guidelines from the Centers for Disease Control and Prevention (CDC). However, various reports indicate instances of passengers' non-compliant behaviors with respect to social distancing requirements at major transit stations, particularly in New York and California (Hardy, 2020; Gauthier-Villars et al., 2020).

Some transit agencies have followed the best practices and promoted social distancing amongst their passengers. For example, the Bay Area Rapid Transit (BART) in California provides weekly train car loading charts (called "crowding charts") for its passengers, which offer a snapshot of the number of riders present in each car of the train (BART, 2020). This allows passengers to assess the possibility of maintaining a social distance of six feet on-board train cars. Other major transit agencies in California have taken similar steps. For example, the Los Angeles County Metropolitan Transportation Authority (LA Metro) launched its official smartphone app called Transit to predict the crowding levels on Metro buses (Metro, 2020a).

LA Metro has increased its service frequencies to minimize crowding at train stations and on trains and buses, especially on some select bus routes called fixed-route transit (FRT) routes (Metro, 2020b). The FRT buses serve as feeder transit services with a fixed schedule of passenger pick-up at stops, and they provide access to LA Metro's train stations along the A Line, B Line, C Line, D Line, E Line, and L Line. Among these rail lines, the A Line serves one of California's high-density populations with low-income households that are also workforce to essential services which could include industries from the health care, public works etc. (see Fig. 1, Data Source for map: LEHD, 2020). For these workers, the A Line and its associated FRT bus services are vital for commuting.

In California, LA Metro's FRT buses had been experiencing a steady decline in ridership prior to the onset of the COVID-19 pandemic in early 2020 (APTA, 2020; LA Metro, 2020). However, LA Metro's FRT buses, popular among low-income riders, experienced as much as over 50% ridership decline with the pandemic's onset when compared to pre-pandemic years. Despite dwindling ridership numbers, authorities have increased FRT services in the pandemic periods to ensure minimal crowding at the bus stops and inside the buses.

With COVID-19 seriously impacting the livelihood of low-income households, the affordability of using private vehicles for commuting has been reduced (Taylor and Wasserman, 2020). Thus, the dependency on the A Line has only increased during these pandemic periods and could remain

the same or worsen post-pandemic. This raises a major challenge of crowding on several public transit system components (buses, trains, stops, stations, etc.) as travel activity picks up with time.

Undoubtedly, social distancing measures could see an increased number of violations in coming times as the pandemic persists. Crowding and not following social distancing leading to non-compliant passenger behaviors will only add to the woes of low-income riders who would have to continue to endure unsafe travel situations. However, better planning of FRT services as a feeder to access train stations can help mitigate safety concerns for transit authorities and low-income riders.

Transit agencies worldwide have taken measures to limit visits at rush-hour stations, even closing stations entirely to compel riders to walk more or take alternative routes (McKinsey & Company, 2020). However, some transit operators place passenger limits on FRT buses. Once a bus is deemed full, the driver contacts a dispatcher to provide another vehicle to receive the remaining passengers (Danville, 2020). This is an effort to increase the accessibility provided to passengers and enable them to reach specific transfer or terminal stations. These measures add up to improved accessibility for FRT - which would mean an increased number of passengers could be served without diminishing the travel time significantly - (Chandra and Quadrioglio, 2013). However, the challenge remains to integrate such accessibility measures that would be sensitive to passenger behavior while boarding or alighting a transit bus at a stop.

FRT buses provide passengers access to mainline train stations serving as transfer or terminal stops in public transit operations. Studies show that the increase in FRT service frequencies, if FRT's scheduling is not in sync with the mainline train frequency, impacts the riders' seamless and multimodal travel experience. With an unsynchronized scheduling with mainline trains, the riders could end up waiting for longer durations at the train station - dissuading them to ride FRT. Unnecessary waiting time and delays result in passengers seeking other modes to reach destinations in time, and could possibly require transfers via multiple modes if they are dependent on two different modes of transport to complete a trip (Manser et al., 2020). Increasing multimodal transport efficiency, including FRT accessibility and effective passenger management (especially with social distancing measures), requires more in-depth research, including research yielding behavioral knowledge of passengers' movement in a crowd. The present research addresses this critical need by integrating an accessibility formulation for FRT with the social distancing requirement of six feet (or about a 5-second time gap) between two boarding/alighting passengers in transit.

The sketch in Figure 2 represents an integrated model which is used to develop accessibility formulation considering social distancing of passengers. The aim is to improve the multimodal transportation system's efficiency.

Thus, this research investigates the impact of social distancing on FRT accessibility, an important measure of transit performance. The accessibility is modeled and evaluated for FRT routes 105, 108, 111, and 115 of the LA Metro's A Line.

Figure 1. Spatial Distribution of Home Locations of Low-Income Workers around LA Metro's A Line (Blue)

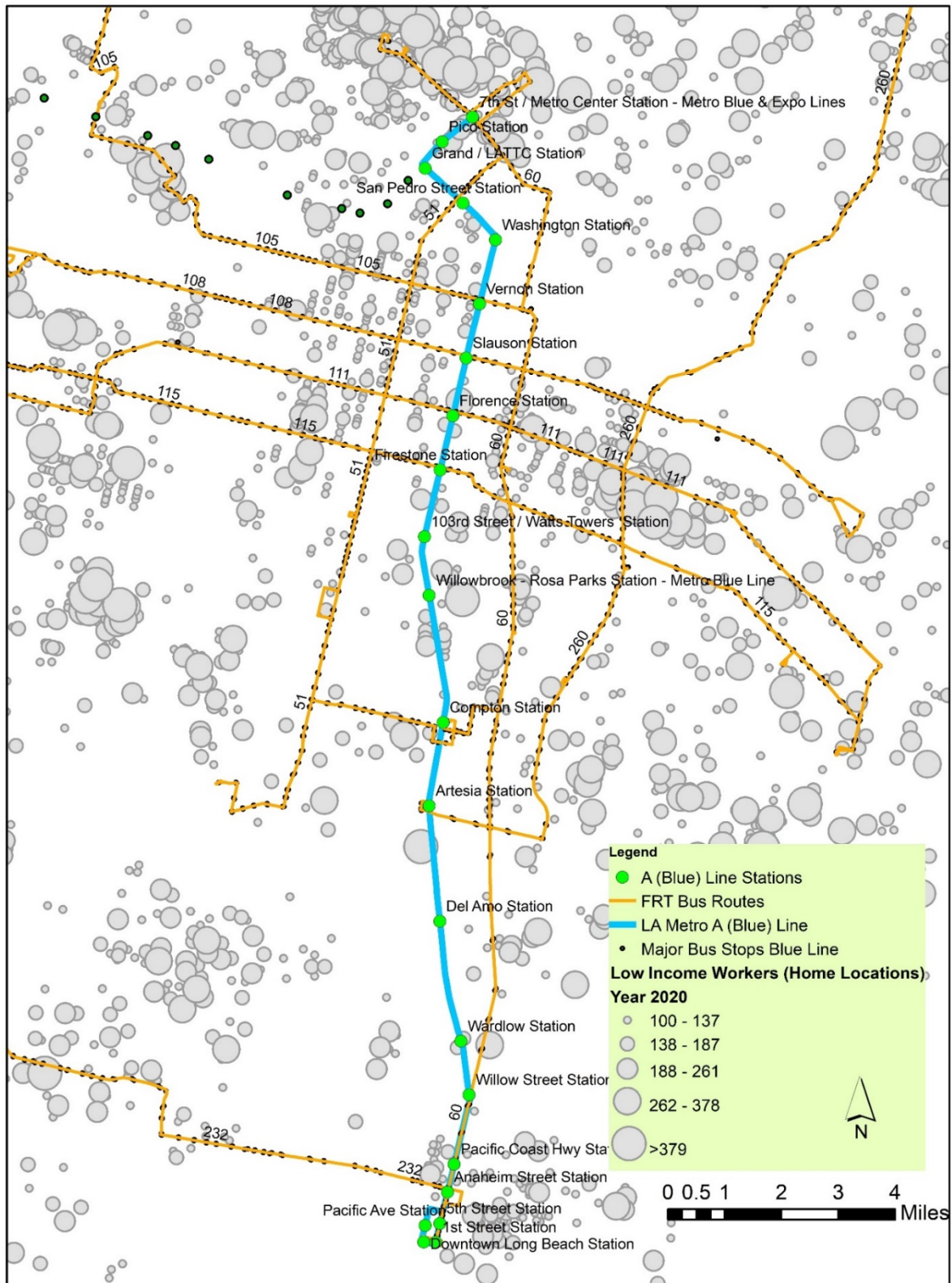
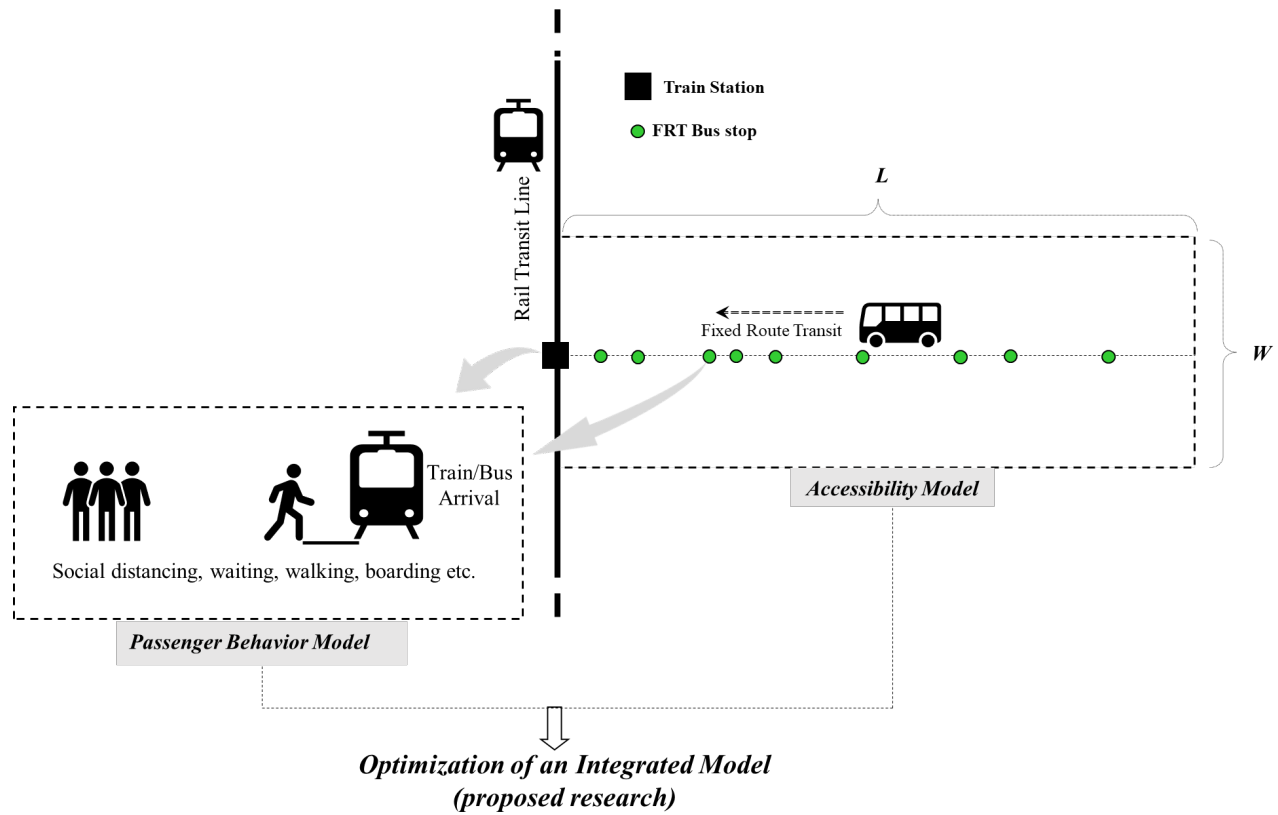


Figure 2. Illustration of the Interaction between FRT Accessibility and Passenger Behavior Models



2. Research Contribution

Low-income commuters who depend on public transport face an unprecedented challenge worldwide due to the COVID-19 pandemic. In the current pandemic, transit agencies are making every effort to provide safe and efficient services to low-income riders and try to boost ridership. However, the new safety protocol of social distancing that passengers need to follow has its own sets of challenges in the shared space of transit stations as well as inside trains and buses.

Transit agencies also have the challenge of understanding passenger behaviors during the pandemic. Although passenger behaviors have been studied in existing literature, these studies are limited to pre-pandemic periods or unexpected situations involving evacuations. In view of the COVID-19 pandemic, transit agencies have increased FRT bus frequencies to encourage social distancing among passengers at stations and on high-demand routes. Unfortunately, knowledge about how FRT accessibility would be impacted due to social distancing is currently limited or absent. This research contributes to developing an understanding of how FRT accessibility is impacted due to social distancing using FRT ridership data on example routes and train stations of LA Metro's A Line and by optimizing the accessibility for the number of stops served by FRT.

This research promises to help decision-makers determine optimal FRT accessibility for the number of stops they serve and their connectivity to rail line transit. With recommendations to improve accessibility, this research could be an important reference source for enhancing FRT and major transit line transit ridership among low-income commuters during and after the pandemic.

3. Methodology

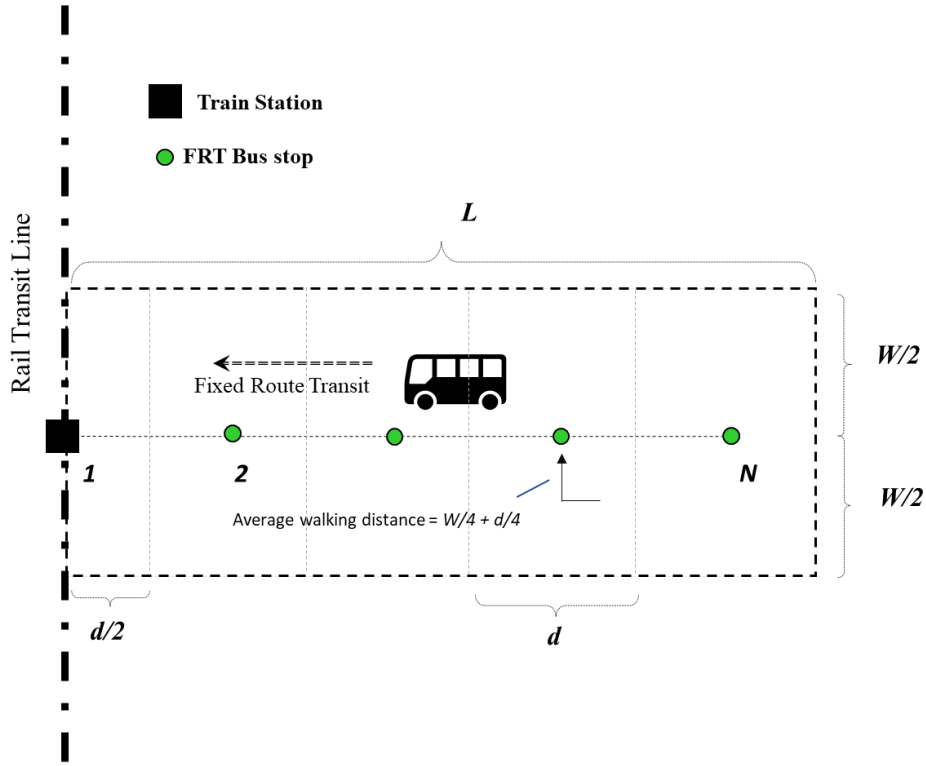
There are several FRT accessibility models used in practice (Jiang et al., 2020; Tang and Du, 2020). However, those do not integrate accessibility with passengers' key behavioral factors, such as speeds and social distancing compliance. In general, the behavioral models depend on the walking speed of the passenger (agent), obstacles (walls), and signs (guidance), as well as the presence of other agents at the station (Li et al., 2020; Su et al., 2020). When integrated with accessibility, these considerations could produce a strong measure of multimodal transportation efficiency for FRT.

The methodology adopted in this research involves a modified formula for transit accessibility incorporating the behavior of passengers while boarding the transit vehicle at stops/stations considering social distancing.

Accessibility to a transit stop can be impacted by both the ridership and impedance (which could be in the form of travel time, distance, or a generalized cost) involved in accessing the stop. A high passenger ridership at a stop could mean that the accessibility of the stop is high, while a low number could indicate that the transit is not accessible to a large population. One of the reasons for poor accessibility is that there could be a significant walking distance to a stop from the passenger's trip origin, such as the home location. The number of fixed stops on the route could impact accessibility for a FRT service.

Too many stops on the FRT route make accessibility to the major transit line smaller in magnitude because of the increase in travel time, but a low number of stops deprives many potential passengers of FRT access. For a constant number of FRT passengers, the inclusion of social distancing in accessibility would increase the boarding time at a stop - i.e. a passenger would take longer times to walk and board the same bus following social distancing. This would increase the travel time of the FRT to the major transit line, decreasing the FRT's accessibility. Therefore, an optimal number of stops could maximize FRT accessibility to the major transit line with a fixed number of stops. This is demonstrated using the simplified set-up shown in Figure 3. The sketch has been adopted from the work of Quadrifoglio and Li (2009) with the following variables: L = FRT service area length, W = FRT service area width, and d = distance between two FRT stops. It is assumed that the population that resides close to the major transit line (rail line) terminal at location 1 is within $d/2$. The people living close to terminal 1 would prefer to walk (or use any non-motorized modes) to the major transit line. Note that $d = L/(N-1/2)$, where N = number of stops.

Figure 3. Fixed-Route Transit (FRT) Service Operation



Based on the sketch in Figure 3, the average shortest path walking distance to any FRT stop is $W/4 + d/4$. With an assumed trip travel time defined as T_{ij} , using the gravity-based formula for the accessibility (P_{FRT}), we have:

$$P_{FRT} = \sum_{j=2}^N \frac{A_j}{T_{1,j}^\beta} \quad (1)$$

where

$A_j = \rho_1 W d \quad \forall j \in \{2, \dots, N\}$ with ρ_1 being the uniform demand density across the whole rectangular service area and β being the decay parameter.

3.1 Derivation of Travel Time

The expected riding time denoted by $E[T_{rd}]$ of combined pick-up and drop-off for passengers at a stop as derived by Quadrifoglio and Li (2009) is

$$E[T_{rd}] = \frac{N(N-1)}{(2N-1)} \left(\frac{d}{V} + t \right) \quad (2)$$

where V is the average speed of the shuttle and the variable t is the dwell time of the feeder shuttle at each stop, expressed as

$$t = \lambda \left(\frac{\rho LW}{N - \frac{1}{2}} - 1 \right) \approx \lambda \left(\frac{\rho LW - N}{N} \right)$$

with λ being the time headway between two passengers at a stop while boarding the transit vehicle with social distancing.

With simplification $(N - 1) \approx (N - 1/2)$, this yields

$$E[T_{rd}] \approx \frac{N}{2} \left(\frac{d}{V} + t \right). \quad (3)$$

The average walking time to the closest FRT stop denoted by $E[T_{wk}]$ is written as,

$$E[T_{wk}] = \frac{1}{V_{wk}} \left(\frac{W}{4} + \frac{d}{4} \right) \quad (4)$$

where V_{wk} is the average walking speed of passengers.

The passengers' net average riding time, $E[T_{nrd}]$, is $E[T_{nrd}] = E[T_{rd}] + \gamma E[T_{wk}]$, where γ is the weight for walking time. On further approximation,

$$E[T_{nrd}] \approx \frac{N}{2} \left(\frac{d}{V} + t \right) + \frac{\gamma}{4V_{wk}} (W + d). \quad (5)$$

Considering the travel time equal to riding time and the waiting time combined in the form of impedance, we have the expression for accessibility from Eq. (1) as

$$P_{FRT} = \sum_{j=2}^N \frac{\rho W d}{\left[\left(\frac{N}{2} \right) \left(\frac{d}{V} + t \right) + \frac{\gamma}{4V_{wk}} (W + d) \right]^\beta} = \frac{\rho W d (N - 1)}{\left[\left(\frac{N}{2} \right) \left(\frac{d}{V} - \lambda \right) + \frac{\lambda \rho L W}{2} + \frac{\gamma}{4V_{wk}} (W + d) \right]^\beta}. \quad (6)$$

The accessibility in Eq. (6) is further analyzed for maximization and can be rewritten in a simplified form as

$$P_{FRT} = \left(\frac{\rho W d}{R} \right) \quad (7)$$

where $R = \frac{\left[\left(\frac{N}{2} \right) r_1 + r_2 \right]^\beta}{(N-1)}$ with $r_1 = \left(\frac{d}{V} - \lambda \right)$ and $r_2 = \frac{\lambda \rho L W}{2} + \frac{\gamma}{4V_{wk}} (W + d)$.

Therefore, a maximum (or minimum) of R should result in a minimum (or maximum) accessibility P_{FRT} in Eq. (6).

The critical values of $N = N^*$ for R in Eq. (7) is obtained by setting the first-order derivative of R equal to zero ($\frac{dR}{dN} = 0$), yielding

$$\frac{dR}{dN} = \frac{\frac{\beta r_1}{2} \left[\left(\frac{N}{2} \right) r_1 + r_2 \right]^{\beta-1}}{(N-1)} - \frac{\left[\left(\frac{N}{2} \right) r_1 + r_2 \right]^\beta}{(N-1)^2} = 0 \quad (8)$$

$$\Rightarrow N = N^* = \frac{\frac{\beta r_1}{2} + r_2}{\left(\frac{\beta r_1}{2} - \frac{r_1}{2} \right)} = \frac{\beta + \frac{2r_2}{r_1}}{(\beta - 1)} \quad (9)$$

The second-order derivative of R gives

$$\frac{d^2 R}{dN^2} = \frac{\frac{1}{2^\beta} \beta (\beta - 1)^2 r_1^\beta \left[N + \frac{2r_2}{r_1} \right]^{\beta-2}}{\left(\frac{2r_2}{r_1} + 1 \right)} \quad (10)$$

The condition for minimum (or maximum) R at critical N (defined using notation N^*) is $\frac{d^2 R}{dN^2} > 0$ (or < 0).

Using the critical value of $N = N^* = \frac{\beta + \left[\lambda \rho L W + \frac{\gamma}{2V_{wk}} (W + d) \right] / \left(\frac{d}{V} - \lambda \right)}{(\beta - 1)}$, R is at a minimum for any $\beta > 1$ and $\left(\frac{d}{V} > \lambda \right)$.

The minimum value of R results in maximum potential accessibility value for the relationship expressed in Eq. (7). At $\beta = 1$, the expression for $\frac{dR}{dN} < 0$ results in potential accessibility expression in Eq. (7) a monotonically increasing function with respect to N . This means that the higher the number of stops, the larger will be the accessibility at $\beta = 1$. These findings have been summarized in Table 1.

In summary, based on the analysis above w.r.t Eq. (6) and (7) that have social distancing parameter embedded in the formula, the accessibility of FRT routes can achieve an optimal value with a certain number of stops, and the decay parameter, β , plays an important role.

Table 1. Accessibility Variation with N (i.e., N^*) and Decay Parameter (β)

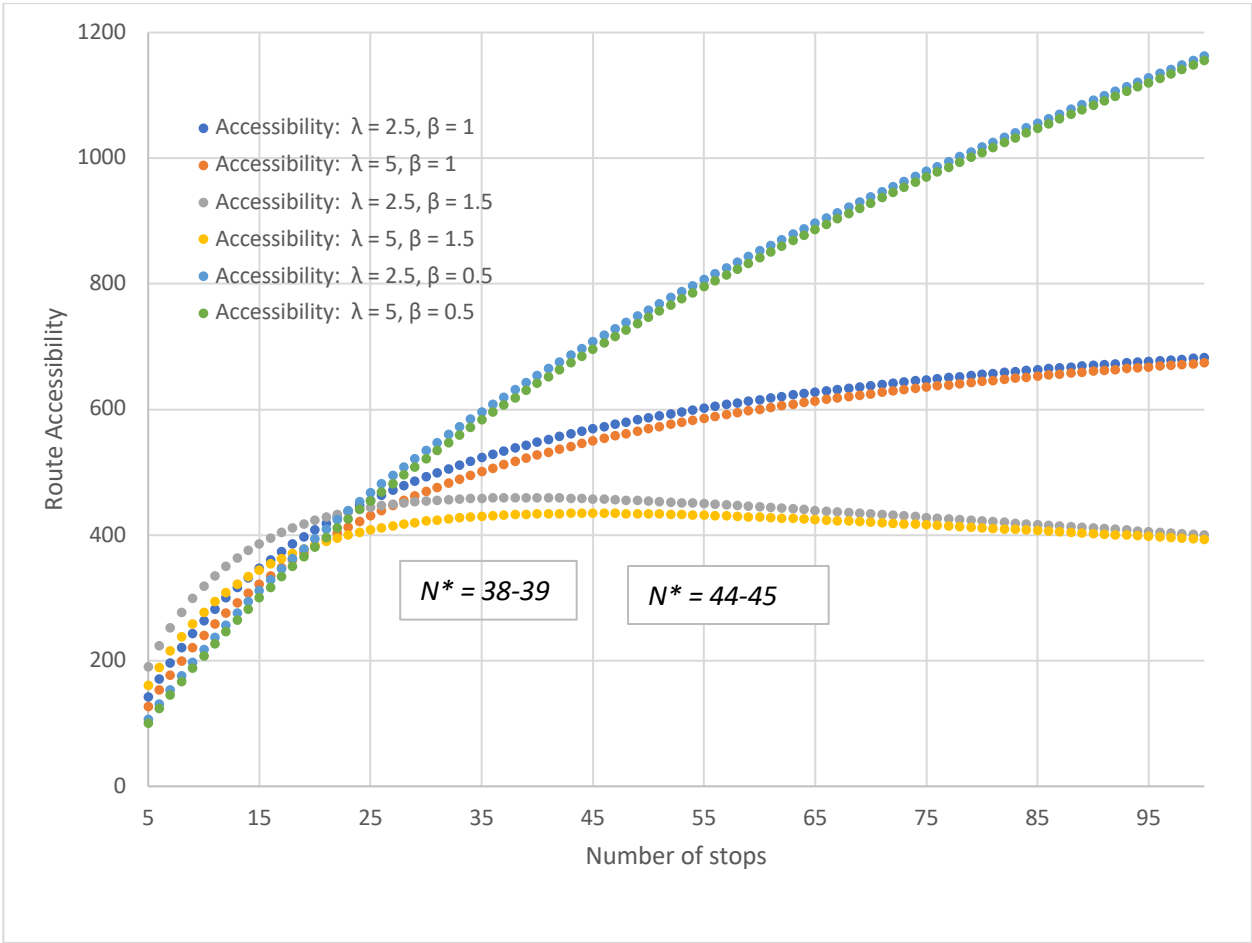
<i>Impedance Decay Parameter $r(\beta)$</i>	<i>Accessibility</i>	<i>N^*</i>
$0 \leq \beta < 1$	$\frac{\rho W d (N-1)}{\left[\left(\frac{N}{2} \right) \left(\frac{d}{V} - \lambda \right) + \frac{\lambda \rho L W}{2} + \frac{\gamma}{4V_{wk}} (W + d) \right]^\beta}$	N/A
$\beta = 1$	$\frac{\rho W d (N-1)}{\left[\left(\frac{N}{2} \right) \left(\frac{d}{V} - \lambda \right) + \frac{\lambda \rho L W}{2} + \frac{\gamma}{4V_{wk}} (W + d) \right]^\beta}$	infinite
$\beta > 1$	$\frac{\rho W d (N-1)}{\left[\left(\frac{N}{2} \right) \left(\frac{d}{V} - \lambda \right) + \frac{\lambda \rho L W}{2} + \frac{\gamma}{4V_{wk}} (W + d) \right]^\beta}$ (Maximized)	$\frac{\beta + \left[\lambda \rho L W + \frac{\gamma}{2V_{wk}} (W + d) \right] / \left(\frac{d}{V} - \lambda \right)}{(\beta - 1)}$ for $\left(\frac{d}{V} > \lambda \right)$

Note: N/A means not applicable.

An application of the above theoretical derivations is presented in Figure 4. That chart has been prepared with an assumed weight for walking $\lambda = 2.5$, 5 seconds as time headway between two passengers at a stop, and variable decay parameters of $\beta = 0.5$, 1, and 1.5. Other assumptions include the speed of the FRT bus ($V = 20$ miles per hour) and walking speed ($v = 3$ miles per hour).

Figure 4 shows that when $\beta = 1.5$, the maximum accessibility obtains when the number of stops served is approximately 38 for $\lambda = 2.5$ and about 44 for $\lambda = 5$. For other decay parameter values, the accessibility monotonically increases.

Figure 4. Fixed-Route Transit (FRT) Accessibility Variation with Parameters



4. Application of the Method

The application of the theoretically derived formulation for accessibility (incorporating social distancing into the formula) was carried with data on the FRT buses of the LA Metro's A Line transit. These routes included the FRTs that serve the stops of Firestone Station, Florence Station, Slauson Station, and Vernon Station, i.e., the bus routes 105, 108, 111, and 115, respectively (LA Metro, 2021a). These four routes serve a large population from low-income communities. The map in Figure 5 shows the spatial location of the LA Metro A Line service area and stations, with the four FRT routes. The home location clusters for the low-income population served in the vicinity of the A Line are obtained for the year 2020 by extrapolating 2012-2018 data from the Longitudinal Employer-Household Dynamics (LEHD, 2021). Data for ridership are collected by the researchers during the assumed peak hours of travel from 7 am to 10 am on Tuesdays and Wednesdays with on-site visits to the four A Line stations for two weeks during June 2021. The data obtained for ridership was corroborated with the estimated ridership stats of the four FRT lines of the LA Metro A Line (2021b). This was required to generate the peak hour demand density for the four FRT lines. The width, W , was assumed to be equal to half a mile within walking distance from residence to a FRT stop. Research shows that the parameter value of $\gamma = 1.7$ is appropriate as the walking weight (Wardman, 2004). The value of λ is the time headway between two passengers adhering to six feet social distancing. The assumption is made that each passenger takes about 5 seconds to board the FRT vehicle, so $\lambda = 5$ seconds. Further, passenger walking speed, v , is assumed to be 3 miles per hour. Table 2 summarizes the data used in the accessibility calculations. To compute the accessibility, the speed of the FRT vehicle is assumed to be 25 miles per hour, and the decay parameter (β) is assumed to be 1.5.

Figure 5. Spatial Location of the Four FRT Routes, the A Line Transit, and Low-Income Home Locations

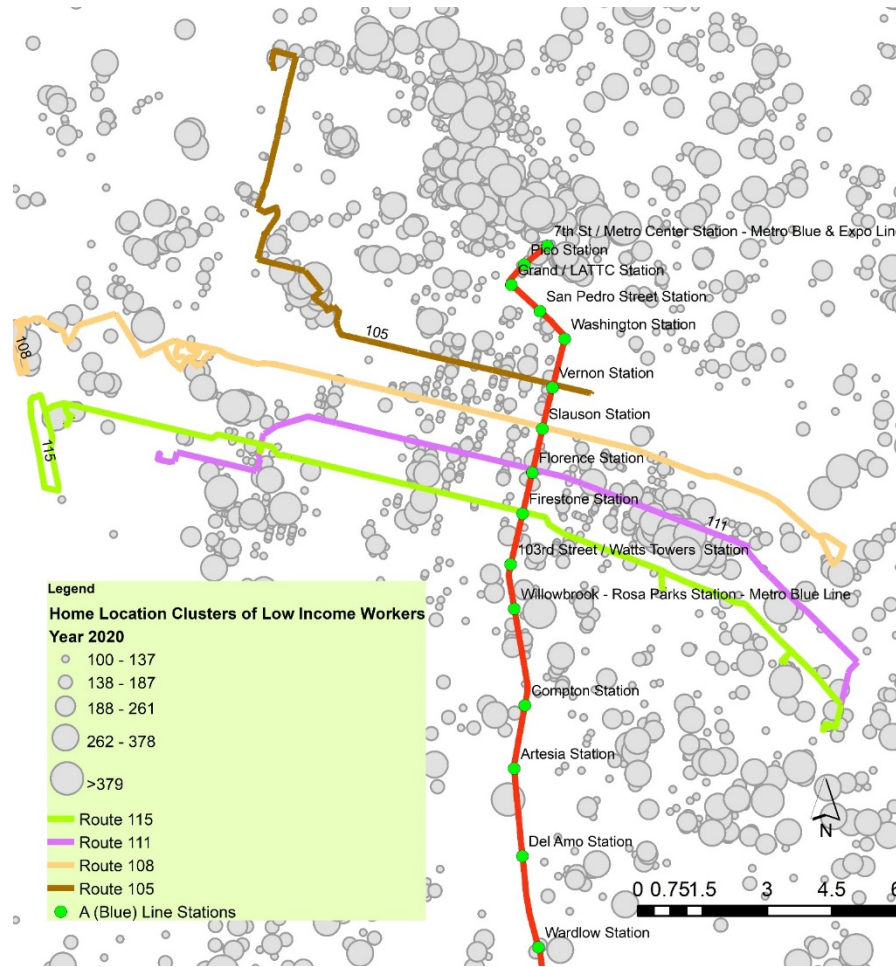


Table 2. Compilation of Data Collected for FRT

FRT Bus Route	Number of Stops, N	Route Length, L (miles)	Distance between Two Stops, d (in feet)	Approximate Bus Headway (in minutes)	FRT Stop Demand Density, ρ (passengers per sq. mile)
105	83	23.9	1,520	10	5
108	116	40.2	1,830	8	2
111	142	32.3	1,844	10	3
115	104	39.9	2,026	15	2

5. Results and Discussion

Plots of accessibility versus the number of stops of the four FRT routes (105, 108, 111, and 115) are shown in Figures 6 through 9. Each figure contains information on the cases with and without social distancing considerations. For the case with social distancing, λ is assumed to be 0.

The chart in Figure 6 shows that with an increase in the number of stops for FRT route 105, the accessibility of FRT increases for the cases with and without social distancing. The accessibility for the case without social distancing achieves a maximum at around 40 stops and decreases after that. For the case with social distancing, accessibility reaches a maximum at 67 stops and then declines. Serving passengers beyond the optimal number of stops leads to a decrease in accessibility. This indicates that an optimal number of stops should be served to achieve the largest accessibility for conditions both with and without social distancing requirements.

Similar observations are noted for the other three FRT routes (108, 111, and 115), with maximum accessibility occurring for the case with social distancing at 50, 52, and 48 stops, respectively. For the case without social distancing, the maximum accessibility for the three routes is achieved at 32, 34, and 33 stops, respectively.

Figure 6. Accessibility Variation with Number of Stops for FRT 105

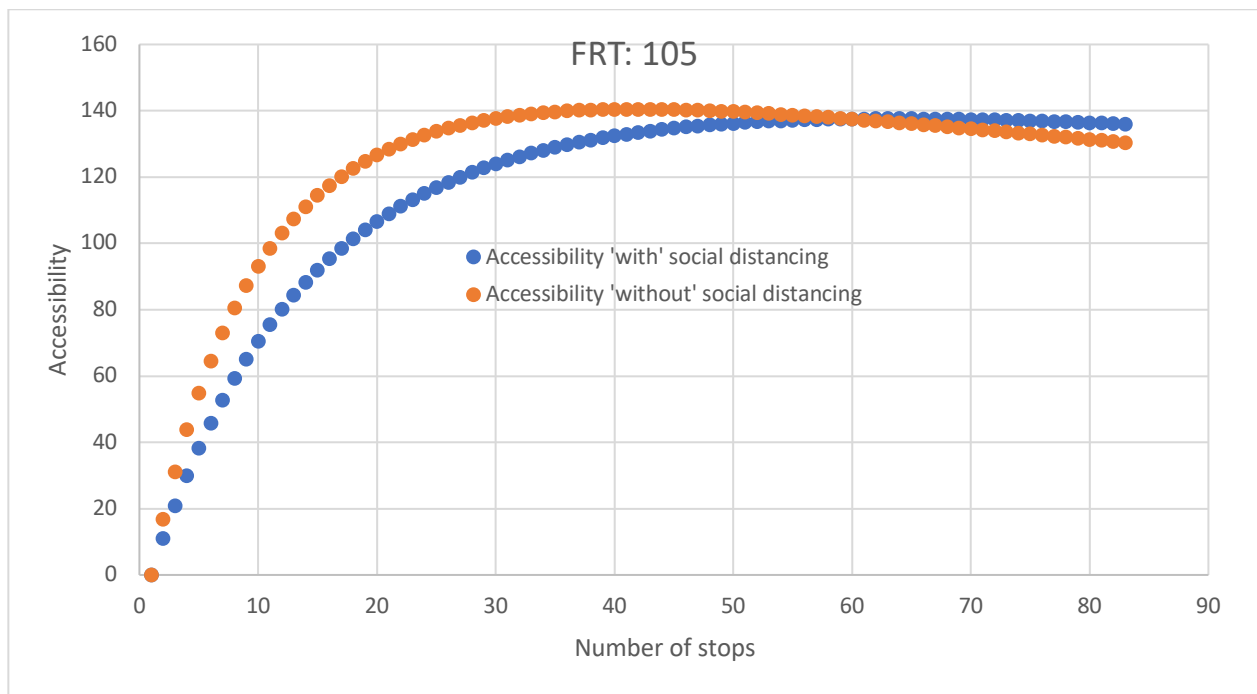


Figure 7. Accessibility Variation with Number of Stops for FRT 108

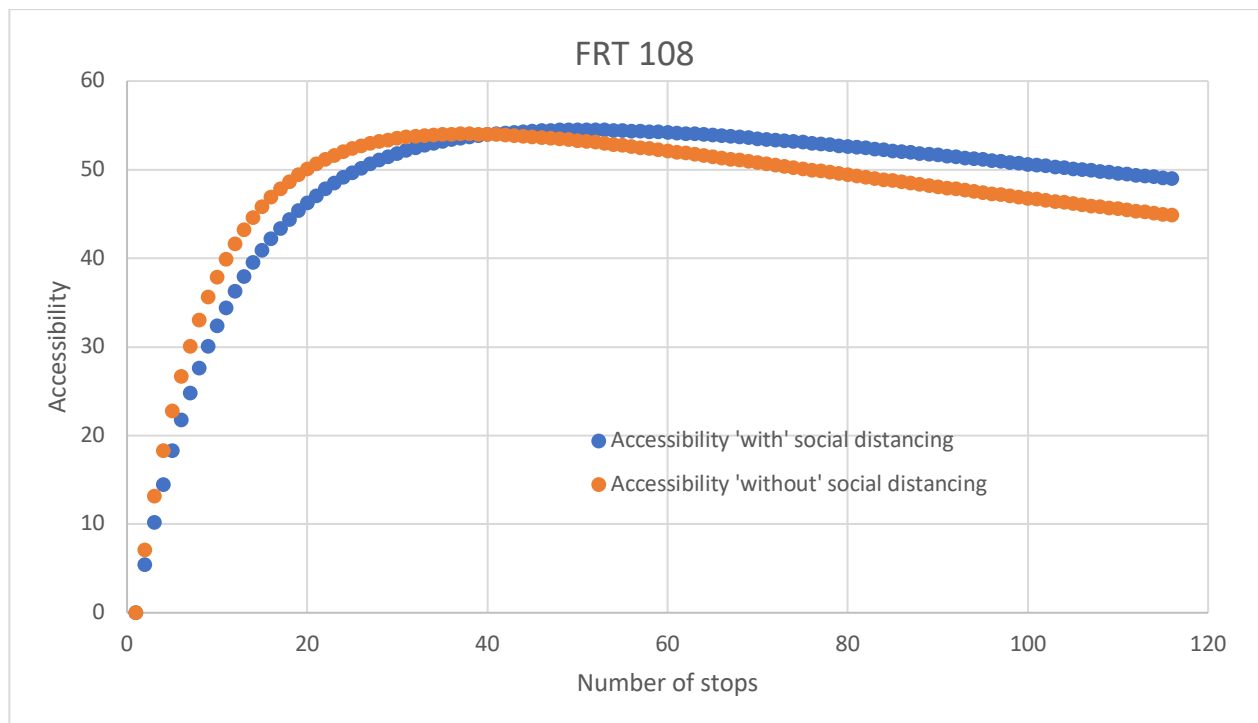


Figure 1. Accessibility Variation with Number of Stops for FRT 111

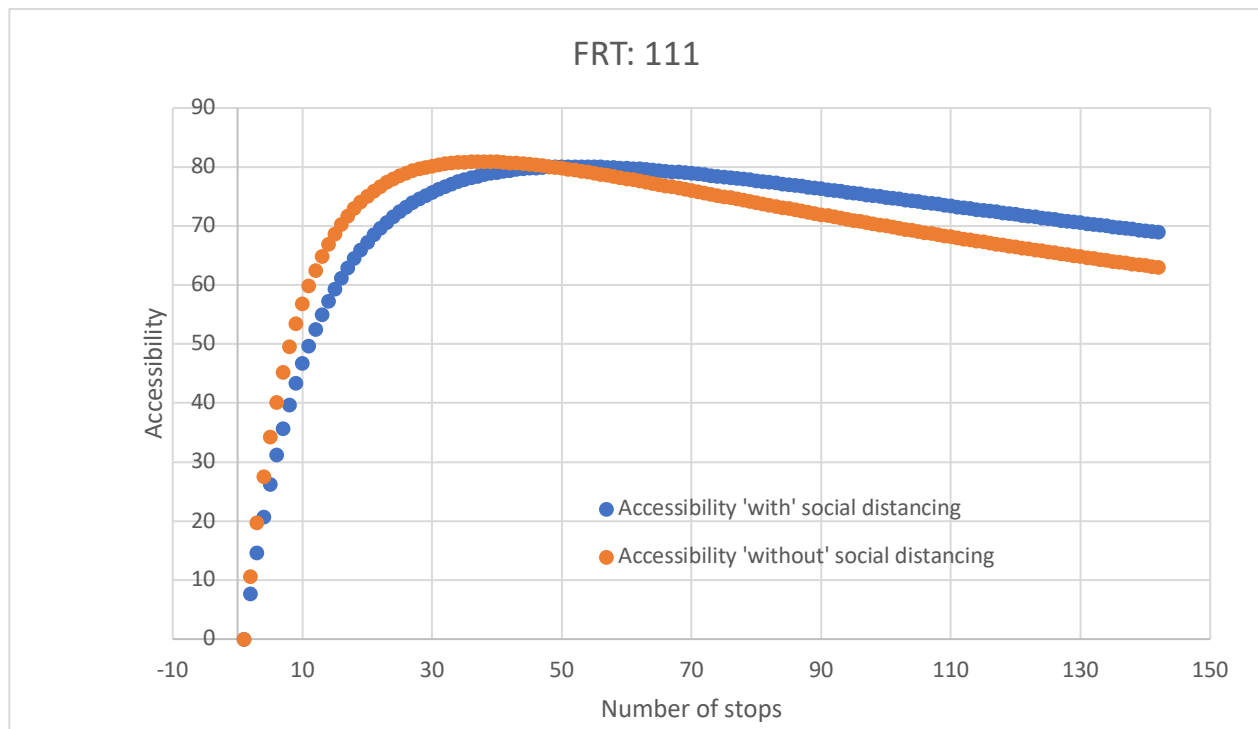
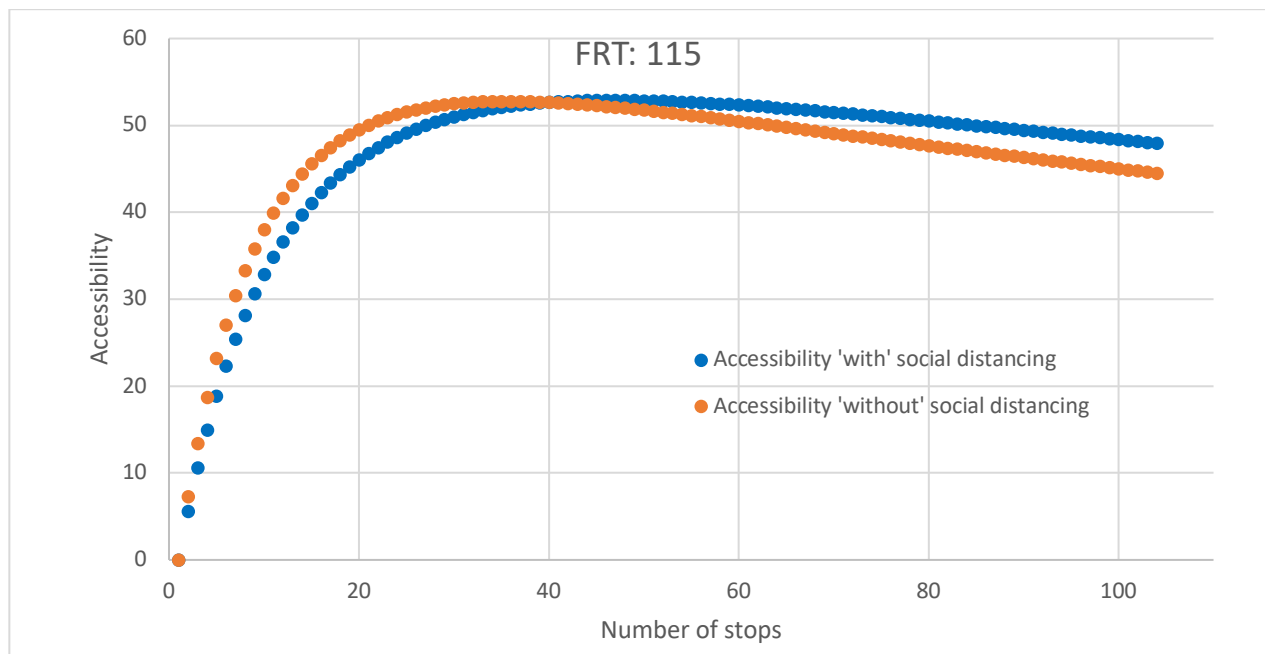


Figure 9. Accessibility Variation with Number of Stops for FRT 115



The findings presented in Figures 6 through 9 suggest that FRT accessibility with social distancing is initially lower than without social distancing. However, as the number of stops served increases, the accessibility for the case with social distancing is greater than the accessibility for the case without social distancing for all four FRT routes.

Figures 6 through 9 also show that the FRT accessibility can be almost equal for the cases with and without social distancing. The equality is noted for routes 105, 108, 111, and 115 if the number of stops served is 65, 52, 52, and 50, respectively.

Although the application focused on FRT accessibility when servicing the rail line, it was assumed that the single vehicle served a route. Multiple vehicles used for service could lower the demand at a stop for one vehicle and thus, dwell time at a stop would reduce. In effect, If the number of vehicles is increased to such that only one passenger gets to board a vehicle at a stop, there will not be a need to consider any social distancing. But this may not be practical as it would incur very operating costs for the transit agencies.

Results also indicate that the as the demand for FRT by low-income commuters would go up there Is an Increase In accessibility of FRT as well. , We notice this for FRT 105. The other three routes had a lower demand per stop per square mile relative to FRT 105.

6. Summary and Conclusions

The recent pandemic has compelled transit agencies to ensure safe travel for passengers. Promoting social distancing among transit riders is one of the most significant measures that has been implemented. It is intuitive to believe that increasing the fleet by reducing the headway or increasing the frequency of transit buses could offset the overall increase in passenger travel time caused due to social distancing. However, adding another fleet to service could also increase the costs for transit agencies.

This research shows that social distancing impacts the accessibility of FRT routes 105, 108, 111, and 115 to the LA Metro A Line stations, which are quite popular among low-income commuters in Los Angeles County. The findings indicate that the maximum FRT accessibility is achieved only for a certain number of stops served. For the case with social distancing, FRT routes 105, 108, 111, and 115 have maximum accessibility when 65, 52, 52, and 50 stops are served, respectively. Therefore, if the goal of the transit agencies is to provide first-/last-mile FRT accessibility to a major transit line, the model developed in this research could help determine the optimal number of stops that the FRT should serve to maximize accessibility. This might require further increasing the FRT service frequencies.